

GMR Airports (GMRAIRPORT)

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GMR Airports Limited
(formerly known as GMR Airports Infrastructure Ltd)
Q3FY2025 Investor / Analyst
Conference Call Transcript
January 29, 2025

Moderator: Ladies and gentlemen, good day, and welcome to GMR Airports Limited (GAL) conference call to discuss Q3FY2025 results. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

We have with us today, Mr. Saurabh Chawla, Executive Director, Finance and Strategy. Before we begin, I would like to state that some of the statements made in today's discussion may be forward-looking in nature and may involve risks and uncertainties. Also, recording or transcribing of this call without prior permission of the management is strictly prohibited.

I now hand the conference over to Mr. Saurabh Chawla for the opening remarks. Thank you, and over to you, sir.

Saurabh Chawla: Thank you, and good afternoon, everyone. I welcome our shareholders, analysts and other stakeholders to our Q3FY25 earnings call. Recently, I came across a news article, which said that OAG, a global travel data provider, has projected a 12.7% growth in the overall airline capacity -- seat capacity for India in 2024 compared to the pre-pandemic levels in 2019 and a growth of 8% YoY. This is not surprising to me. In fact, the India's passport penetration rate which, while we still are relatively low at 6.5%, signals immense untapped potential for both domestic and international travel. As per CRISIL, the price gap between air and rail travel has dropped from INR4.7 per kilometer in fiscal '10 to INR1.5 per kilometer in fiscal '24, which has made air travel preferable and has become an attractive option also. This trend is likely to accelerate demand, especially in the domestic market. OAG data has also revealed that the Mumbai-Delhi corridor was ranked 8th busiest domestic flight route in the world in 2024.

In terms of international traffic, the rise of Indian tourists arriving or visiting Asia and Southeast Asian countries is a strong indicator of this growing appetite for global travel. With Indian tourism to Singapore increasing by 12% this year, India has become the third largest source of international visitors to the country. This spike in outbound tourism is also reflective of broader trends like Air

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India and IndiGo's plan to expand their international network, offering more flights to Southeast Asia, Europe and Americas. The uptick in business class bookings also highlights the shift in traveller preferences. A 50% to 60% increase in business class bookings, both domestic and international, shows that there is a growing segment of affluent travellers in India ready to spend more for comfort and convenience. It is imminent that the next few years will be exciting for Indian aviation sector. In this context, Delhi Airport has become the first Indian airport to connect 150 destinations. Also, with 90 weekly departures to North America, it is the highest frequency airport in South and Southeast Asia to that region. Our Hyderabad Airport was named the best airport at the India Travel Awards; while Mopa, the Goa Airport, also won the best domestic airport titled at the Travel Leisure India's Best Award in 2024. The airports received some other awards as well which are mentioned in our presentation.

On that note, let me now delve into our Q3FY25 performance.

Firstly, I'm happy to share that Hyderabad Airport has declared an interim dividend of INR7.5 per share at the recently concluded Board meeting. This translates into INR2.1 billion for GAL's 74% stake. The airport has declared dividend after a gap of 5 years. This is in line with our earlier guidance on future profitability and strategy of airport assets giving dividends to GAL.

Momentum in total income continued with Q3FY25 performance at INR27.5 billion, up 17% YoY driven by traffic and tariff growth, translating into an EBITDA growth of 37% YoY to INR10.9 billion. EBITDA margin for the quarter was 52% in Q3FY25 versus 49% in Q2FY25 and, on a YoY basis, 46% in Q3FY24. PAT from continuing operations was INR2 billion and included an exceptional gain of INR4.1 billion, arising due to the completion of divestment in Cebu Airport. Even excluding this exceptional gain, we are encouraged by the narrowing of loss, affirming our trajectory towards profitability. Cash profit for the quarter was strong, and given the expected traffic increase and tariff revision due at Delhi Airport, our position will only improve from here in the coming years. Consolidated net debt, excluding the FCCBs of INR23.1 billion, stood at INR297 billion, increasing by INR10 billion versus Q2FY25. And this was mainly driven by a combination of borrowings raised at Bhogapuram, where a new airport is being built and the MTM forex impact on US D bonds and payment of balance capital

expenditures at Delhi Airport. The forex impact is more of an accounting treatment as all our USD bonds are completely hedged. It is also important for you to note that this performance at Delhi is notwithstanding the delay in the tariff notification -- the new tariff notification of Delhi Airport. On the operational front, we continue to see growth in traffic, 10% year-on-year growth in Q3FY 25 reaching 31 million passengers. This excludes Cebu, which we have now fully divested, although GMR continues to operate as a technical service provider until December 2026. Both domestic and international traffic grew at the same rate of 10% YoY in Q3FY 25. As compared to the last quarter, traffic grew 8% given the travel holiday season. International passenger traffic share for the quarter was at 24%. Regarding the specific airports during quarter 3. Passenger traffic at Delhi rose 8% YoY to 20.3 million passengers. At Hyderabad, traffic was up 22% YoY to 7.7 million passengers. Both

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these airports handled the highest number of monthly and quarterly passengers in December 2024 and Q3FY25 respectively. Goa traffic remained similar as last year at 1.2 million. Our international

passengers

more than doubled versus last year. The airport is now connected to 10 international destinations, up from 3 in the last quarter. As you know, the new aircraft deliveries to both Air India and to IndiGo are muted, thereby impacting growth in international traffic which would have been much, much stronger had the supply not being constrained as there is a latent demand available for travel, both domestic and international.

Total income at Delhi Airport rose 8% YoY to INR14.3 billion as well as increase in non-aero income per pax, IPP, with EBITDA increasing 6% YoY to INR4.4 billion. At Hyderabad, total income was INR6.1 billion, up a solid 23% YoY with growth driven by both traffic and slight increase in the aero tariff for FY25. EBITDA was up 35% YoY to INR3.9 billion. Mopa Airport reported a total income of INR1 243 million, an increase of 77% YoY on a lower base, strong international traffic growth and new tariffs applicable from Jan '24. The airport also recorded a CPD income of INR119 million as it signed an agreement for a hotel at its commercial land. The airport continues to report positive EBITDA in its second year of operation with Q3FY25 EBITDA at about INR63 4 million.

Notable achievements during the quarter are, as you all know, GMR Nagpur International Airport, a wholly owned subsidiary of GMR Airports, signed a concession agreement with MIHAN India Limited on October 8, 2024, towards the upgradation, development and operation of Nagpur's Dr. Babasaheb Ambedkar International Airport. The process to take over the airport is underway and expected in Q1FY 26. Honourable Prime Minister, Shri Narendra Modi graced the ground-breaking ceremony for the upgradation and modernization of the airport on October 9, 2024. For 9MFY 24, the airport has handled 2.1 million passengers and the traffic has grown at a CAGR of 32% during FY22 to FY 24.

Non-Aero revenue at all our airports were strong in the quarter. At Delhi, non-aero revenue increased 13% YoY; at Hyderabad, 17% YoY; and at Mopa, the growth was 45% YoY. Duty Free SPP at Delhi, increased from INR991 in Q2 to INR1,063 in this quarter; while at Hyderabad, SPP growth was significant from INR751 in Q2FY25 to INR879 in Q3FY25.

Taking the next step in developing the commercial land, Goa Airport signed this agreement for development of 2 more hotels. This takes the total to 4 hotels in Goa. Construction is also underway on DIALs Terminal Hotel, a self-development project and other third-party projects at Delhi Aerocity. At Hyderabad, construction of GMR interchange (retail project) is also progressing in its speed. In our endeavour to revolutionize airport operations and transform the passenger experience, GMR Airports launched an AI-powered digital twin platform at Hyderabad Airport and unveiled one of its kind next-generation Airport Predictive Operation Centre (APOC). This innovative platform integrates airside, landside and terminal operations into a unified system, utilizing real-time data to optimize decision-making, minimize disruptions and ensure seamless operations.

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Progress on developing the airport adjacency business continues. During the quarter, GMR Hospitality Limited operationalized 24 out of the 34 planned F&B outlets at Hyderabad while also operationalizing all 8 F&B outlets at the Goa Airport forecourt area. A microbrewery was also inaugurated at Mopa Goa Airport.

As previously announced, GMR Promoter holding company has executed an agreement with Platinum Stone, which is acting through its trustee, Platinum Rock, whose sole beneficiary is The Abu Dhabi Investment Authority on October 23, 2024. The transaction was concluded on January 7, 2025. This has resulted in significant reduction in the pledge of GMR Promoter group share

holding in GAL

to 34.8% from 53.9% along with mitigating both refinancing and settlement risk. Combined GAL promoter, that is GMR and Groupe ADP, pledge now stands at 17.8% versus 27.5% earlier. Capacity expansion at Mopa Airport to 7.7 million passengers is now complete, and the requisite

approvals and consents have been received to operate. As of December, at Bhogapuram, 55% physical progress is complete, while at Crete, 43% progress has been achieved. The equity divestment of Cebu Airport is also completed as planned. GMR Airports will now operate as a technical services provider until December 2026.

Now let me address our most common question that would be in everybody's list. That is the status of CP4 tariff for DIAL. I would like to update you that the process is taking longer than anticipated, primarily due to additional review processes within the regulatory framework, which are not uncommon. We are closely monitoring the situation and expect to get consultative paper issued in the next few weeks and, subsequently, the tariff order in Q1FY 26.

At GMR, we believe that the airports are key players on the ESG landscape, driving sustainability through eco-friendly infrastructure, social progress to inclusive travel experiences and governance excellence through transparent operations. CSR spend for quarter 3 totalled INR48 million with total beneficiaries of more than 25,000 people in 7 states.

Delhi Airport was honoured as a winner under the service industry category at the prestigious South Asia Team Excellence Award in 2024, presented by ASQ South Asia. Our Hyderabad Airport was conferred with the CII Business Excellence Award, and Goa Airport being the first ever Indian airport to receive the Sarvashrestha Suraksha Purashkar by National Safety Council of India Safety Awards. The presentation with all financial numbers is already available to you. If you have not, you can download it from our Investor Relations section at our website. We are available to respond to your questions on this call and off-line after the call. Now I would like to open the forum for queries that will be addressed by my colleagues from both the corporate and the business teams. Thank you so much.

Moderator: The first question comes from the line of Mohit Kumar from ICICI Securities.

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Mohit Kumar: My first question is, of course, you did address that the Delhi tariff order, but still I would like to get your sense of the time lines. You are saying that, if I got you correct, the consultation paper in the next few weeks and maybe a tariff order, if my understanding is correct, another 6 months. Is that right? Is that either a fair assessment of the timeline?

Saurabh Chawla: No, no, no. I'm saying 2-odd months. So post the consultative paper is notified. There's a due process that the regulator has to follow. You cannot speed it up. Consultative paper is for comments from various stakeholders and subsequent to that, taking their feedback, the regulator issues the tariffs.

Mohit Kumar: Understood, sir. My second question is on the interest cost. Of course, there has been Q-on-Q decline, but of course, there is an element of forex sitting in there. The question is that, of course, most of the capex expansion is done. Is there a scope to reduce the interest rates and reduce the interest burden going forward as we enter FY26, FY 27. How do you think about your debt portfolio?

Saurabh Chawla: So I'll ask GRK Babu to answer. But just as a global statement I would like to make is that every point of time, we are looking at ways and means to reduce our interest rates. We have over last, I would say, 12 to 18 months, if you see away from dollar bonds into rupee bonds because they were much cheaper. So going forward also, we'll continue to look at those opportunities. But to answer specifically, GRK

Babu, please.

GRK Babu: No. As far as the DIAL is concerned, we have just recently in June month, we have refinanced the high-cost \$450 million dollar debt in to domestic paper with the INR2,530 crores at 9.5% rate of interest. Right now, there are already 2 bonds which are pending. And domestic paper, we have already issued almost 4 papers from DIAL. And the next due is only \$522 million in October '26, then we are looking forward and see that we'll be able to reduce substantial interest there also. And we are always in the process of reducing interest costs.

Mohit Kumar: Understood. My last question is, sir, on the Delhi Duty Free business. Can you just help us with the contribution in the profit in the last 9 months?

Saurabh Chawla: Yes. So my colleague Rajesh would highlight that.

Rajesh Arora: Yes. So I think the Delhi Duty Free top line for 9 months period for the current year has been about INR1,646 crores, that's the top line. And profit before tax was about INR204 crores.

Mohit Kumar: Understood, sir. And sir, from which quarter you'll take over the Delhi Duty Free business completely, 100%?

Rajesh Arora: 27th of July midnight, we will be taking over.

GRK Babu: Second quarter of '26.

Moderator: The next question comes from the line of Prateek Kumar from Jefferies.

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Prateek Kumar: Congrats for good results. My first question is on your -- this revenue from -- you give the slide, where you give like a chart where segmental revenues are given. So the subsidiaries and other revenues continue to do well, like growing around 26% year-on-year in this quarter, and margins are also much higher. So which particular category in this segment is contributing to growth? I'm mentioning the

segment which is said as subsidiaries and others, which is outside DIAL and Mopa ?

GRK Babu: It is basically the subsidiaries, MRO is contributing a good amount now. And in case of the basically associates and joint ventures, right now, the DDFS is considered as associate, even though we are holding majority. That is providing good and also the cargo entities. These 3 are providing more and more revenues and the revenue share -- I mean, basically, the share of profit.

Saurabh Chawla: Yes. So specific numbers, Rajesh?

Rajesh Arora: Yes. So no, we have the specific number. If your question was to understand which are the business segments which are growing, almost all our subsidies and JVs are growing. I'm seeing the top line is growing in the range of about 14% to 15% kind of top line growth. MRO has specifically seen a significant growth in the last 9 months. But the major contributor, as G RK Garu mentioned, are duty - free, cargo . And in fact, now the F&B is also the major contributor towards the overall top line and bottom line.

Prateek Kumar: But joint ventures will not be contributing to this line item, right? So this -- I would agree on subsidiaries. But joint venture, is it contributing to this INR2,65 3 crores?

GRK Babu : Joint ventures are accounted for as equity method. They are not line by line consolidation. It's only equity method.

Prateek Kumar: So in that case, on the MRO and Duty Free and cargo -- so MRO and cargo is contributing. And Duty Free at Hyderabad and Goa also maybe would be contributing?

Saurabh Chawla: Correct. Now you can see that. And I think in next -- by next quarter, you will see -- actually from the quarter 2 onwards, FY 26 quarter 2 onwards, you will see that also emerge as it gets out of a JV set up and comes into GAL.

Prateek Kumar: Right. My other question is the monetization of land outside Goa Airport. So we reported some CPD income there. So is this like a quarterly income expectation now? Or like it will be like lumpy kind of number?

Saurabh Chawla: No, no. CP -- the one at Goa will continue to be lumpy. It's not something which is on a regular basis.

GRK Babu: So we have monetized the

last financial year to hotel parcels, about 4.5 acres. For that, to be income, 50%, whatever amount we have received has already accounted as income in the last financial year. This current financial year, another 2 land parcels have already been monetized for the hotel, and we have received the income in December in some portion and in January we're receiving another.

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The lease rentals will start flowing after 1 year for the date of signing up the concession agreement.

So that will start flowing the next financial year onwards.

Prateek Kumar: Meaning FY 27?

GRK Babu: '25-F'26 onwards, it will start flowing.

Saurabh Chawla: Within FY 26 because after 1 year is what the GRK. Garu was highlighting. The lease rentals will start. So those will be the stable lease rentals that we receive. Any monetization will be always a lumpy process.

Prateek Kumar: Right. And what is the status on the monetization? I mean, where our own construction was happening at Delhi Airport regarding the commercial building and the mall which we are constructing?

GRK Babu: No. Our self -development as we call it, SAM project, is going on fully, and we are expecting the FY25/ 26, it will be ready for occupation. As far as the Bharti, 4.9 million is concerned, the construction is going on fully, and we have received full payment from Bharti and also they are paying for lease rental also.

Prateek Kumar: And last question on Noida Airport commissioning. There was a report yesterday which said that most of that -- 80% of the work at that airport is done and that is about close to commissioning from April? How do you see like initial reception there from your competition perspective?

Saurabh Chawla: I think this is now a regular question at every analyst call of ours and it's a standard reply I would give is, very welcome that Noida is coming up. It will release some capacity from our already robust growth that we are seeing in our Delhi Airport. So, they have a long way to go, but we are happy that they are progressing well. We would like, as I said, the more concentration of international traffic, high -yielding traffic to be at Delhi Airport. It is a city centre airport. It has certain locational advantages , which Noida does not have. So we're happy to encash on that opportunity and let go of any low -yielding traffic, which sometimes clogs our airport. So , we are happy on that development. The universe of demand is much more to satisfy the capacity both at Delhi and at Noida. That's not an issue at all.

Moderator: The next question comes from the line of Karthik Chellappa from Indus Capital Advisors Hong Kong Limited.

Karthik Chellappa: I have 3 questions, sir. The first question is, if you look at Delhi Airport's traffic growth, that has been around the 7% to 8% range for quite some time right now, which is in stark contrast with the kind of strong traffic numbers that Hyderabad is seeing, So what do you think explains this divergence? And what needs to happen for Delhi traffic to actually start growing in double digit again? That's my first question.

GRK Babu: Question is, we look at it with Delhi, the base is so big and we are achieving now this year 79 million as against 73 million. How much we are adding is almost 6 million. Whereas Hyderabad is started with 24.5 million and they will be closing at 29 million. So the base is lower, that's why the growth looks higher. But the moment the base goes up, then it comes down.

Saurabh Chawla: So don't look at merely as a percentage growth purely because the base skews that up. Look at the absolute numbers that are growing. Number two, also, Karthik, you need to appreciate that Delhi is an international hub. And in that international hub, a lot of our traffic, which is predicated on new aircraft being procured by Air India and IndiGo and the supply chain constraints over there, that a

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has certain impact on the traffic. But as those aircraft get delivered, you will see much better absolute numbers coming from Delhi Airport also going forward.

GRK Babu: The second point is that in Delhi, just now only we have completed the expansion. So, we had a lot of constraint on the slots. In the last 2 years, we were not releasing any slots. Whereas Hyderabad has got sufficient slots and they have been releasing it. Maybe going forward, after 1 or 2 years, and Delhi will see again further growth. However, we should also make a note of it, as long as the base is very high, the percentage growth will be lower in comparative terms.

Karthik Chellappa: Perfect. So the way we should understand is, is given the high base and given that we are also addressing some of the choke points in our traffic, the traffic growth will probably be better than what we are experiencing right now in percentage terms, but it may not be as high as Hyderabad.

That's how we should interpret this, right, at least for the next 12 to 18 months?

Saurabh Chawla: Yes, that should be the right expectation. Having said that, as the aircraft get delivered, this growth will pick up more at Delhi versus in Hyderabad because Delhi is an international hub. So all these are wide-bodied aircraft, which there are delays in those deliveries. And hence, once they get done, the slots are already available to Air India. If you look at Air India's own business, probably they have the best slots, which have never been utilized, and the foreign airlines are utilizing those slots.

So now China has also opened up. China -- all the numbers that you see were sans China. Those were all traffic that was either going through Singapore or through Hong Kong. Now the direct flights into China have opened up. So you will see much higher growth on the international side, which will drive the growth for the overall Delhi Airport.

GRK Babu: The next point is we always look at it what is the growth all over India, and vis-a-vis how Delhi is growing. That is very, very important because Delhi is almost covering 20% of the India traffic.

Karthik Chellappa: Excellent. My second question, sir, is on this tariff. Now given that the consultation paper should be ready pretty soon, we have had our own expectations on what the Delhi tariff should be. And of course, we would appreciate that the Delhi tariff right now is much lower than what it should be even compared to other airports in India. So given our own expectations that we had at the beginning

of the year, do you still believe that tariff realization is possible in lieu of the delay in the process? Or is there any change in expectations that you must bear in mind?

Saurabh Chawla: No, our expectations continue to be where they were, okay? But honestly speaking, we cannot hazard what the regulator finally comes with. Just back of the envelope itself will take the tariff up.

We all know that. We spend INR12,000 cores / INR13,000 crores of capex, and that has increased the regulated base. So depending upon the future projections that we have, the yield is bound to go up. So that's something which is a fact. Now how much will it go up? Will it go up by 100%? Will it go up 150%? Time will tell. And let the regulator complete its work, I would not like to prejudge regulators' notification on that.

GRK Babu: One more point we should keep in our mind is not only the capex we have spent. What is our performance in CP3 is equally important because the regulator looks at it, what is that he has given and what is that we have achieved. If we have overachieved than what regulator has given, there will be negative true-up also that we should be mindful.

Karthik Chellappa: Got it. Excellent. My last question, sir, is at what point do you think the gross debt at a consolidated level will peak? And what would be our capex guidance for FY 2

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Saurabh Chawla: So currently, the debt level includes the debt taken for the Bhogapuram Airport, the construction of Bhogapuram Airport. So that, of course, gets consolidated. The second is the balance payments that are being made by Delhi Airport. So that's pretty much given now, not much to add over there. We'll have some amount of debt go up at the corporate level for the purchase of the Fraport stake. And whatever left is for Bhogapuram.

So today, I think our gross debt is INR29,000 -odd crores. And we should go up to about INR30,000 to INR31,000 crores as a peak debt on the current business plan that we have by end of FY26.

Karthik Chellappa: And capex number, sir, for FY 26?

Saurabh Chawla: So we are not doing any fresh capex. Just again, I want to highlight to you except for Bhogapuram, where the capex is happening, that's a greenfield airport. We are not doing any fresh capex. Nagpur is just a recent addition to the portfolio. We will have to evaluate that and then come back to you with our plan for the upgradation of Nagpur airport. But there also, I want to highlight one thing is, that Nagpur is a brownfield airport. So the benefit of an operational airport will always be there.

Moderator: The next question comes from the line of Aditya Mongia with Kotak Securities.

Aditya Mongia: The first question I had was I wanted to get a sense that, I think Mr. Babu talked about our residual value that's inline with...

Saurabh Chawla: Aditya, please you have to re-dial in and probably then it will be a little clearer. We can't understand at all what you're saying. Sorry about this. We'll wait for you to dial in.

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Moderator: The next question comes from the line of Dario Maglione with BNP Paribas.

Dario Maglione: A quick question, just one. Can you explain this transaction between GMR Infra Enterprises, so the promoter, and the Abu Dhabi Investment Authority? What exactly means? So it seems like they are lending money. And so you have one lender now. But does it mean anything in terms of the share that GMR Promoter has in GMR Airports or voting rights and the net debt, please?

Saurabh Chawla: So let me just clarify one thing, is that this is a loan that has been given by Abu Dhabi Investment Authority against certain number of shares which are pledged to Abu Dhabi Investment Authority.

This facility does not involve any coupon payment for a period of between 5 to 8 years, depending upon what tenure the investor takes. And the settlement of this facility will be determined in the future at a price to be determined as per the SEBI preferential allotment pricing at that point of time.

That's why our -- my statement earlier, and this was also included in the -- in our press release, is that it removes any refinancing risk and also removes the settlement risk. That is the broad contours of the transaction. A DIA, of course, being a lender has customary protection rights but they do not have any voting rights at the Board of GAL.

Dario Maglione: And just to clarify, if in 5, 8 years, Abu Dhabi -- ADIA, will execute the option and convert the bond in shares, will they get voting rights?

Saurabh Chawla: Once they exercise that option or once I exercise the option, obviously, they become a shareholder of GAL, and they will have any voting rights that any common shareholder of GAL will have. They won't have any preference or preferred voting rights. For example, currently, ADP has under their shareholder agreement. That is not something that ADIA will have.

Moderator: The next question comes from the line of Aditya Mongia with Kotak Securities.

Aditya Mongia: As a first question, I wanted to get a sense from Mr. G R K Babu. He was talking about a residual value of control period 3 that could be significant and influencing the control period average yield. Could you give us a sense whether is it significant and some sense of the quantum? Because

se this is already a period that has passed by.

GRK Babu: No. The intention is that -- trying to say in CP3 numbers also will be considered actuals by the regulator.

Saurabh Chawla: So Aditya, I mean, what GRK Garu was highlighting is the principles on which a regulator looks at how the different components of the business is performing for determining the actual tariff for CP4.

That's what he was highlighting.

Aditya Mongia: Understood, understood. I'm sorry, must have took for it to be a significant driver but as of now, I'll take it as a neutral comment for now.

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Saurabh Chawla: Yes, this is a neutral comment because this is a public call, and I don't want to hazard any guess on behalf of the regulator.

Aditya Mongia: Understood. The second question that I had was linked to -- I think this question was asked earlier also. See, if I take away the top 3 assets that you have, which is Delhi, Goa and Hyderabad, the EBITDA plus other income that you report has become a significant INR200 crore quarterly number. Now MRO to me is a INR400 crore annual number top line, and EBITDA would be whatever, 30-odd percent. So if you can give us some sense of this INR200 crore number and the constituents for it, it will be easier for us to kind of build this number more sustainably. I say so because the past through quarters have given us large numbers, but that was not the case earlier. So any color on the constituents of INR200 crores of EBITDA plus other income, excluding the 3 assets would help.

Amit Jain: Aditya, what we had discussed, broadly MRO, cargo, which is at Hyderabad Airport, plus there are some EBITDA coming in, in line with revenue at this GMR Airports stand-alone. Because as you know, some of these adjacencies businesses, especially the Hyderabad and Goa Duty Free are now managed at the GMR Airport level. So those EBITDAs are also coming. The value of these constituents can be shared off-line.

Aditya Mongia: Understood. So for now, I would assume that there'll be a recurring INR200 crore run rate from here on, on assets beyond the top 3. Will that be a fair assessment of things?

Amit Jain : In fact, the trajectory is northwards, upwards. Because, as already indicated, sometime down the line, even the Delhi Duty Free will also move at GMR Airport level. So that will also start contributing on this particular head, which is beyond these 3 assets, which is Delhi, Hyderabad and Goa. So these numbers will move up as we move forward.

Aditya Mongia: Understood. Maybe lastly on the Hyderabad Airport, it was heartening to see the SPP numbers kind of go up quite meaningfully towards where Delhi operates. Maybe as an overall non-aero per pax kind of thought process, do you see a fast recovery happening from the perspective of Hyderabad Airport towards Delhi Airport levels over the next 2 or 3 years? And what could drive the same?

Rajesh Arora : So one, what you would have seen as the growth in income, non-aero income in Hyderabad and also SPP of Duty Free, because we mentioned it in the last call that we now have an expanded duty-free area in Hyderabad. So which like we could be able to get more product offerings higher space, additional space. So that added to the growth in SPP. But going forward, the growth, what we will see both in Delhi and Hyderabad, I think we'll see a similar kind of trajectory.

Aditya Mongia: Sure. Should we be working with a non-aero per pax number of more than 4% to 5%? Or do you think a higher single-digit number can become the mainstream way of looking at things for both these airports?

Rajesh Arora : Non-aero income the way we will -- we should look at this, and that's what you would have seen the performance in the current period, overall, revenues are growing at the rate of about 14% to 15%.

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I think that's the growth one should keep in mind. It will be a combination of

traffic as well as SPP

growth. But I think the right way to look at it would be look at how the non-aero revenues are growing, top line is growing.

Moderator: The next question comes from the line of Nidhi Shah with ICICI Securities.

Nidhi Shah: I would just like to -- in advance, I'm sorry if I missed an answer or if this question has already been answered. But revenue quality at the Goa Airport which, as far as I recall, has ended in the first week of December. I'm assuming that we will see this coming in, in Q4 for the year. So what number could we expect for this quarter?

GRK Babu: The revenue share has already kicked in, in case of the Goa. Just started from 7th of December onwards. We have already paid the amount of revenue share on the 7th of January. In the next quarter, that is what you are estimating on basing on the revenues we have estimated, it could be between around INR24 crores to INR25 crores.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the floor over to the management for closing comments.

Saurabh Chawla: Thank you so much, Zico. Thank you everybody, for attending this call at this late hour. I appreciate your questions. The team, of course, is available off-line to answer any other specific queries that you may have. But in a nutshell, what I've been always saying, that this current year is an inflection point for GMR Airports because majority of the capex has been completed. So the model has de-risked from that perspective. The traffic is growing quite robustly despite the supply challenges of the aircraft for various airlines which are operating above 85%/ 90% PLF levels. Despite all those challenges that the sector faces, the airports are growing very well. And going forward, as the Delhi Airport tariff gets notified, everything flows into the EBITDA levels, and we should start reporting much more positive results once the new tariff of Delhi gets reported. So we are on our way to a much more healthier P&L and Balance sheet over the next 3 to 4 years -- during the next 3 to 4 years. Thank you so much.

Moderator: Thank you. On behalf of GMR Airports Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: Transcript has been edited to improve readability

Call: Feb 2025

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GMR Airports Infrastructure Limited
(formerly known as GMR Infrastructure Ltd)
Q1FY2025 Investor / Analyst
Conference Call Transcript
August 14, 2024

Moderator: Ladies and gentlemen, good day, and welcome to GMR Airports Infrastructure Limited conference call to discuss Q1 FY2025 results. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

We have with us today, Mr. Saurabh Chawla, Executive Director, Finance and Strategy, along with the other top management. Before we begin, I would like to state that some of the statements made in today's discussion may be forward-looking in nature and may involve risks and uncertainties. Also, recording or transcribing of this call without prior permission of the management is strictly prohibited.

I now hand the conference over to Mr. Saurabh Chawla for the opening remarks. Thank you, and over to you, sir.

Saurabh Chawla: Thank you, and good evening, everyone. I welcome our shareholders, analysts and other stakeholders to our Q1FY 25 Earnings Call. This is a momentous moment for us because now our merger has got completed and this is the first earnings call of a merged entity GMR Airports Infrastructure Limited.

As we navigate into FY25, we are seeing a lot of optimism in the travel sector as also within the company. Various global institutions, including the World Bank, have stated that India will remain the fastest-growing world's largest economy. Even RBI has projected a GDP growth of 7.2% in FY25. One of the articles published by a business site said India's travel retail market is expected to grow at a CAGR of almost 21.6% during the period 2024 to 2029.

To cater to the expected demand, the new Civil Aviation minister has assured that the pace of building aviation infrastructure, including creation of new airports will be accelerated. The National Stock Exchange has also recently launched the Nifty Tourism India Index. GMR Airports is a part of that index with a weightage of 14.8% currently, the third highest within that portfolio.

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The focus area of all the stakeholders remains on establishing India as a hub. Let me give you some data points to ponder. More Indian passengers are booking nonstop flights than earlier. 57% of the total passengers in 2023 flew point to point compared to 53% in 2019 as per data from OAG. Data from India Central Bank show that Indian travellers reached a new peak in overseas spending of almost \$31.7 billion in 2024, of that, \$17 billion was spent on international travel alone, a 25% increase from the previous year.

According to the CEO of the Sri Lankan Airlines, an increasing number of passengers from Europe to Sri Lanka are choosing to transit through Indian airports rather than the traditional West Asian hubs. Transit traffic from Europe to India to Colombo has tripled since COVID-19 pandemic. India is now the fastest-growing long-haul market for Melbourne Airport, its CEO said. Melbourne Airport has grown direct services to India in the last 12 months by 330%. However, even with the growth of direct connectivity to India, 70% of the traffic between India and Australia still goes through connecting hubs like Singapore.

At Delhi Airport, we have launched several initiatives to aid international travellers. For instance, Air India has tie-ups with Delhi Airport to facilitate check-in for international passengers at two select Delhi Metro stations, which is Shivaji Stadium and New Delhi Rajiv Chowk Stadium. To make immigration process easier, biometric kiosks are operational at Delhi Airport. These and several other initiatives will ensure that more time is available to explore the airport and enhance the travel experience of the passengers.

On that note, let me delve deeper into the Q1 FY25 performance. Momentum in total income continued with Q1 FY25 at INR 25.2 billion, which is up by 19% year-on-year, driven by traffic growth translating into an EBITDA growth of 18% year-on-year to INR 10.2 billion.

EBITDA margin for the quarter was 52% in Q1FY25 versus 48% in Q4 FY24. Higher finance costs and depreciation arising post completion of expansion of Delhi and Hyderabad Airports lead to GMR Airports reporting a loss from the continuing operations of INR 3.4 billion.

Consolidated net debt, excluding the FCCBs of \$25.3 billion stood at INR 280 billion, increasing by about \$9 billion versus in Q4 FY24. This was mainly driven by a combination of borrowings raised at Bhogapuram Airport and payment of balance capital expenditures at Delhi, partly offset by

repayment of foreign currency notes at Hyderabad.

On the operational front, we continue to see growth in traffic that is 7% year -on-year growth in Q1, reaching 31.8 million passengers. International passenger traffic share for the quarter was at 23%. Regarding specific airports during Q1, passenger traffic at Delhi rose 7% year -on-year to 19.3 million passengers. At Hyderabad, the traffic was up 10% year -on-year to about 6.8 million passengers. Both these airports handled the highest number of quarterly passengers ever in Q1. Goa traffic rose 19% year -on-year to 1.15 million passengers.

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Total income of Delhi Airport rose 7.5% year -on-year to INR 12.9 billion, driven by traffic growth with EBITDA up 3.8% year -on-year to about INR 3.9 billion. At Hyderabad, total income was INR 5.8 billion, up 21.4% year -on-year with a growth driven by both traffic and slight increase in the aero tariffs for FY25. EBITDA was up 11% year -on-year to INR 3.6 billion. Mopa, which is Goa Airport, reported a total income of INR 946 million, an increase of 121% year -on-year on a lower base, strong traffic growth and new tariffs applicable from January 2024. The airport continues to report a positive EBITDA in its initial years of operation with Q1 at about INR 397 million.

Notable achievements during the quarter are :

The merger of GMR Airports with GMR Airports Infrastructure Limited is no

w complete. Corporate

structure of GMR Airports Infrastructure Limited is now streamlined, and airport assets have moved closer to the GIL shareholders. Enhanced corporate governance with an expanded board and a strong balance sheet has enabled GMR Airports Infrastructure Limited to be future -ready. GMR promoters continue to remain as the single largest shareholder retaining management control over GMR Airports Limited. Shares allotted to group ADP in lieu of this merger are now trading on the stock exchanges.

Delhi airport during this quarter submitted the tariff proposal for the fourth control period. That is for a period from 1st April 2024 to 31st March 2029.

In addition to this, there was an unfortunate incident at Terminal 1 at Delhi Airport. I would like to highlight that the swift response by Delhi teams ensured that the business operations had minimal impact on revenues and passengers do not face challenges. There was no shortage of staff to service the passengers and our concessionaires during this transition period.

Progress on foraying into airport adjacencies businesses continued. At Hyderabad Airport, all retail outlets are now being operated by GMR Airports Infrastructure Limited. Letter of Intent has been issued to some luxury brands for Luxury Zone at the domestic terminal. Car park business that was awarded to GMR Airports Infrastructure Limited has been operationalized this month. For F&B, GMR Hospitality Limited has opened up 5 outlets during this quarter and is expected to open many more or actually more than 30 outlets during the Q2.

At Hyderabad Airport, a new last -minute duty -free shopping store has also been opened, which provides an additional facility for passengers to shop. Also , Transit lounge commenced commercial operations in June'24.

At Goa Airport, duty free further strengthened its product portfolio by introducing watches and cosmetic categories. Rolling tobacco was also introduced at the arrival store. Car parking system has been operationalized in July 2024.

I'm also happy to announce that as of July, 100% of physical work has been completed for the expansion of Delhi and Hyderabad, with operations at Delhi's new terminals stated to start shortly.

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As a matter of fact, as we speak, our release has already gone into the marketplace where I think on 16th night, the Terminal 1 will restart its operations i.e. the new Terminal 1.

At Bhogapuram, about 34% of physical progress is complete as of July, while at Mopa, Goa, 91.5% of expansion is complete. At Crete, about 37.5% progress has been achieved as of July.

All GMR Airports are among the top 100 global airports as per Skytrax ranking. Delhi retaining a rank of 36, and it is the only Indian airport in top 50. Hyderabad securing 61st position and our newly operational Goa airport getting 92nd position. Skytrax awarded Delhi Airport with the best airport in India and South Asia Award for the 6th consecutive year, while Hyderabad Airport was judged the best airport staff in India and South Asia.

At GMR, we recognize that our success is deeply linked to the well -being of our planet and its people. That's why we are committed to integrating ESG principles into every aspect of our business. Our goal is to create a better future for all our stakeholders. ASQ score at both Delhi and Hyderabad Airports was maintained at 5 for the Q1 and at Goa at 4.92. CSR spend for Q1 totalled about INR 25 million with total beneficiaries of over 140,000 persons with more than 90% being from vulnerable and marginalized groups. Delhi , Hyderabad and Goa Airports keep launching several initiatives and have received awards and recognitions for the same, acknowledging the group's efforts on the ESG front.

Both Delhi and Hyderabad Airports are targeting net 0 by 2030 and are rated at Level 4 plus transition by ACI. With various initiatives on the ESG front, we have been

making steady progress

on ESG ratings by various agencies, including S&P Global, MSCI and Sustainalytics, et cetera. The presentation with all financial numbers are already available with you. If not, you can download it from the IR section of our website. We are available to respond to your questions on this call and offline after the call.

Now I would like to open the forum for queries, which may be addressed by my colleagues from the corporate and business teams. Thank you.

Moderator: Our first question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: My question is, given the merger has, I think, materialized in this Q2. What is the total number of shares after the issuance to Groupe ADP? And am I supposed to conclude that, the OCRPS and FCCB, everything has been issued to the Groupe ADP. Is that a fair understanding?

Saurabh Chawla: No, I think there is some misunderstanding. The FCCBs that were issued to ADP, a little more one year back, they continue to be FCCBs. So those have not been converted by ADP. They will continue for a period of 5 years from the date of issuance, minimum period of 5 years from the date of issuance. So there's no conversion from that aspect. And hence, the equity stack will not change.

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Mohit Kumar: So the number of shares outstanding should be around 10 billion -- 10.5 billion shares, right? And there is a 2.6 billion of OCRP. Is my number correct?

Saurabh Chawla: Correct.

Mohit Kumar: Understood, sir. My second question is on - you received TDSAT order a few months back. Is the order still being contested? Or has it reached a finality?

GRK Babu: With regard to Delhi TDSAT orders?

Mohit Kumar: Yes.

GRK Babu: No, the appeal has already been filed before the Supreme Court by the stakeholders. But the court has not given any stay on it. So that hearing is yet to take place.

Mohit Kumar: And what are your expectation when you will receive the Delhi tariff order?

GRK Babu: Delhi tariff order, we have filed application, including the TDSAT benefits and also the Supreme Court benefit. Both together, we have already filed application.

Mohit Kumar: My question is when do you expect the Delhi tariff order to be in effect.

GRK Babu: SBI caps has already been appointed for this purpose by the regulator. The work is going on in full swing. Regulator has already asked SBI to complete the entire work within 6 months. So we're expecting the order latest by December, otherwise, the last quarter.

Saurabh Chawla: So the order will be effective from 1st April 2024, while order will come in the last quarter of our FY25. Sorry.

Moderator: The next question is from the line of Karthik Chellappa from Indus Capital Advisors Limited.

Karthik Chellappa: I just have two questions. One on Delhi Airport and one on Hyderabad. On Delhi, if I were to look at our financials this quarter, so we have about a 7% passenger growth against which we've had are about 9% to 10% non-aero growth and a 4% EBITDA growth. I'm just curious to see that our non-aero revenue per pax is probably trending at about 2% to 3%, and our EBITDA per pax is actually down year-on-year. What would explain this weakness? And when do you think we can start to see some nonlinearity in this growth where your EBITDA is actually growing faster than revenue? That's my first question, sir.

GRK Babu: See, we are under base airport charges as far as the Delhi Airport is concerned. So you will be able to see the benefit of increase in EBITDA only when the tariffs are implemented, which we are expecting by the last quarter of this FY25.

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Karthik Chellappa: Okay. The aero part of it is clear to me, sir. When I look at the non-aero revenue, that on a per pax basis is rising only 2% to 3%. And that, I think, is also contributing some to the slow EBITDA growth. So I'm just trying to see when the non-aero revenue

per pax can grow faster and which can probably translate into faster EBITDA growth. That's basically the angle where I'm coming.

Rajesh Arora: Yes. I think when you look at the non-aero per pax revenue, what it takes into consideration is the inflationary impact as well as improved spend. So it can vary anything between 3% upwards also.

When you really look at this particular quarter's number, it will have a combination of few things.

Q1 is not the best quarter. Q4 is a quarter where you have the maximum revenue coming in both from the aero as well as non-aero point of view. And there could be another contributing factors like spending duty free and all that. But in isolation, if you look at 3% growth in non-aero spend per pax is not a bad number. I would like to say. But yes, we have been doing better than that. And that's the endeavour to by increased offerings and increased space, you should see increasingly this

spend should go up.

Saurabh Chawla: Yes. So I think you need to take into account the seasonality. The first quarter of a fiscal year, which is your April to June, is usually lower than the last quarter of Q4 of the previous fiscal year. So the momentum continues to be there. I think the real measure of it will be, as we go forward, you will see the trend lines reappear on the growth of the non-aero side.

GRK Babu : And another point is that terminal 1, which is now built for 40 million capacity, is getting opened up now, then you will see a real increase in non-aeronautical revenue, maybe in third quarter and fourth quarter.

Karthik Chellappa: Okay. Got it. My second question is again on Hyderabad. What I noticed is that we've had a very strong aero revenue as well as non-aero revenue. So on a per pax basis, that is also -- for aero, it is almost up double digit. And for non-aero, it's up about 7% odd on a per pax basis. But despite that, the EBITDA is actually slower, which means the OpEx is actually pretty high. So what is contributing to the high OpEx to Hyderabad? And when do you think you can actually start to see EBITDA growth also in the region of our revenue growth.

Saurabh Chawla: See, in case of the Hyderabad, since the expanded terminal is almost 3x bigger than the existing terminal. The costs are now started being incurred. And as far as the revenues are concerned, aeronautical is, of course, in line with the tariffs which are already in place. Non-aeronautical revenue all the new shops are getting opened up. We are expecting the entire work will be completed by only third quarter of this financial year. You will be able to see a good jump in the non-aeronautical revenue only in the fourth quarter.

Karthik Chellappa: Okay. Got it. And just one follow-up, sir. As far as the old Terminal 1 was concerned, which was being shut, what is the update on that? When is that going to be opened? And is there any repercussions to us in terms of additional capex or maintenance capex to be spent?

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GRK Babu : There is no maintenance capex. The entire fallen canopy has already been removed. And that structure has been in place -- and Saurabh has already explained that we are starting the operations on 16th night with SpiceJet. The entire operation of SpiceJet will be operated from Terminal 1 from 17th August onwards. And Indigo is moving on 2nd or 3rd September to the Terminal 1. So it will be working with the same capacity what it was working earlier. However, the full capacity of Terminal 1 will be used maybe in the third or fourth quarter once we complete the canopy work.

Saurabh Chawla: So it will be a slow progression of full utilization of the space in that terminal, which has been created, but because of the foyer work, there will be a slight delay in that expansion of throughput through that airport.

GRK Babu : Basically, we are operating only one the check-in island for the purpose of immediately starting the operations.

So we will open the other - 3 check-in islands over a period of time, maybe by third quarter of this financial year.

Saurabh Chawla: And the traffic has not been impacted because when the event happened, the traffic was moved to terminal 2 and terminal 3. Now going forward, the traffic will start moving back from terminal 2 and terminal 3 back to terminal 1. So from a revenue perspective, there is no impact.

Karthik Chellappa: Okay. Got it. This is very clear. Wish you and the team all the very best for the remaining quarters. I'll come back in the queue for additional questions.

Saurabh Chawla: Thank you.

Moderator: The next question is from the line of Prateek Kumar from Jefferies Group.

Prateek Kumar: A couple of questions from my first question is on the merger part of the GAL and GIL and like some developments in the sector. So with Groupe ADP now coming directly as a listed company shareholder. Does it change anything operationally for the business? And how are they particularly like sort of looking forward to or contributing to travel retail opportunity for the company?

Saurabh Chawla: So Prateek, honestly, nothing has changed. They were the 49% equity holder of GMR Airports, which was a subsidiary of the Listco. Now they are just -- they're going to be 33% odd equity holder at the Listco. They had same number of board seats as the GMR family had at the private entity level. They will have the same board seats, 5, both for GMR family nominees and ADP, they will have 5 nominees.

So nothing has actually changed. It's a very smooth migration of just shareholding from a private entity level to a public entity level. Obviously, the benefits are more from efficiency of movement of earnings once the entity starts -- the airport entities start to declare dividend. That will allow the Listco to receive the dividend in a more tax-efficient form, use that cash flows for its own balance sheet purposes and also for growth. If you look at the numbers, Prateek, which, look for example, Hyderabad Airport has now started to throw. The free cash generation of Hyderabad is very, very

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robust. And obviously, when Hyderabad is not in an expansion mode, they will be upstreaming those cash to its shareholders.

Delhi, once the new tariff order comes, we'll be able to give you much better guidance. But we are targeting free cash for equity generation in next 3 to 4 years at Delhi Airport also. It's such a large airport. And once it starts to throw cash, it's big amounts of cash, which is there.

So the whole idea is now very much balance sheet focused, operational focus, generation of free cash for equity, developing it into a very strong platform for future opportunities that we may get as we go forward within India and Asia.

That is what our focus is. And ADP, of course, brings its strength in many aspects of airport development and operations. And what they were adding as contribution at the GMR Airports level, they are adding the same thing at the listed level which is GMR Airports Infrastructure Limited.

Prateek Kumar: Next question is on your debt, like that's around INR 280 billion as of first quarter, ex- of FCCB. How do you see like that panning out with the capex, which is lined up for our Bhogapuram Airport over the next 12 months?

GRK Babu : Bhogapuram Airport, now the construction is happening in full swing. And as Saurabh has explained, we have almost touched the 34% of the progress. In this current financial year, we are likely to spend about INR 12 billion to INR 13 billion on the capex.

Prateek Kumar: So our INR 28,000 crores net debt could move to like what number -- is it like a peak number? Or that can move to INR 30,000 crores number?

GRK Babu : Bhogapuram debt as of today, what we have drawn is only about INR 700 crores. The total debt to be available is INR 3,250 crores, of that INR 700 crores only drawn. So another I

NR 2,500 crores will

be added in the next 2 years.

Saurabh Chawla : Obviously, Prateek, the other airports will also be paring down debt. There would be some repayments of the principal that would be happening. So the net debt level, I think, should peak in the next 12 to 18 months, and then it should start to fall.

Prateek Kumar: Okay. And my question on international opportunities, the competition has recently seen bidding for two international airports in Kenya and Taiwan. So what do you think from that perspective as a ADP consortium?

Rajesh Arora : I think you're referring to a couple of these airports likely to be given on a nomination basis to particular competitor. So that's I think it's part of the game. And when it comes to we focusing on the opportunities -- right now, our focus is on Middle East. And more so where you can look at the asset-light opportunities like you would know we have submitted our bid for Kuwait Airport Terminal 2. Likewise, we are also looking at Abha in Saudi, that's where we have submitted our

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request for qualification. So whilst there's a large landscape and competition, yes, competition is there and competition will remain there. So we'll not take too much of what has gone to somebody on a nomination basis. That's part of the game, I would say.

Saurabh Chawla: So Prateek, I think I will again allude to something I just stated earlier. We have enough on our plates. We have today almost 100 million passenger throughput in our airports, both domestic and international. And if they are growing at about 10% to 15% every year, we are adding 1 or maybe 2 medium-sized airports in our portfolio. So our focus is more on our P&L, more on cash flow generation. And if within that focus, we do get an opportunity, which makes a compelling economic sense for our shareholders. We will surely not let it go. We will bid for those. But even if it doesn't come, for us, we are already adding 2 airports in our portfolio on an annual basis. That's the way we look at it.

Prateek Kumar: Sorry, can you elaborate on the RFQs in Kuwait and Saudi. This is related to what asset-light contract?

Rajesh Arora : So this Kuwait Terminal 2, I know where we have as GMR Infrastructure, we have put in our bid. So there are three bidders. We are awaiting the results. That's an asset-light bid for 10 years of operations and management contract. And there are two other bidders. So that's on Kuwait.

Saudi, we have submitted our qualification and the next process will take place as we will go along in terms of RFP right? Still is in the early days, but these are the two places right now, we are putting our focus on.

Moderator: The next question is from the line of Ganesh Ram from Unifi Capital.

Ganesh Ram: Prateek has already asked some of my questions, but maybe if I could just post one on the capex and then just get back to the debt. On the capex, okay, Hyderabad, Delhi mostly done. And Goa, I remember you mentioning about INR 200 crores in the last quarter. Now I'm just trying to see more on the Bhogapuram side? So we've done about 34%, 35%, and we're expecting INR 12 billion to INR 13 billion at the year-end, right? So if you could just tell us, is this capex more of a front-loaded nature? Or how is it going to be split across the timeline of the project? So that's probably the first question. And then given the number of subsidiaries and airports that we have right? So what would sort of be the maintenance capex on these assets once this airport expansion takes place?

GRK Babu : As far as the Bhogapuram is concerned, we are drawing the debt as and when required only. We have already infused with INR 800 crores of equity. So we have INR 800 crores equity is already infused and INR 700 crores on the draw. So we have been drawing a very less amount as and when

required only. It is not front -loaded. It is only spread over a period of 2

years.

Ganeshan: Got it. And just on where you expect the maintenance capex to be on these assets, when is it fully commissioned.

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Management: See the expansion has been completed. Since we hardly have any operational capex, it will be normally -- operational capex will be in the range of about INR 1.5 billion to INR 2 billion in case of Delhi and around INR 1 billion INR 1.5 billion in case of Hy derabad.

Ganeshan: Okay. That is very clear now. You did mention that we are expecting that -- I mean, that to sort of peak out in the next 12 to 18 months and your focus on the P&L and cash flows, I'm pretty sure is very well appreciated. So I just wanted to pass that feed back.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Saurabh Chawla for closing comments.

Saurabh Chawla: Yes. Thank you. Thank you, everybody, for joining this first merged entity quarter earnings call. And the team is available to answer any further queries you may have, and you can reach them either on mobile or by e -mail. We're happy to answer any further questions you may have. And have a wonderful Independence Day tomorrow.

Moderator: On behalf of GMR Airports Infrastructure Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: Transcript has been edited to improve readability

Call: May 2025

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GMR Airports Limited
(formerly known as GMR Airports Infrastructure Ltd)
Q4FY2025 Investor / Analyst
Conference Call Transcript
May 23, 2025

Moderator: Ladies and gentlemen, good day and welcome to GMR Airports Limited., formerly GMR Airports Infrastructure Limited., conference call to discuss Q4 FY25 Results. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. We have with us today Mr. Saurabh Chawla, Executive Director, Finance and Strategy. Before we begin, I would like to state that some of the statements made in today's discussion may be forward-looking in nature and involve risks and uncertainties.

Also, recording or transcribing of this call without prior permission of the management is strictly prohibited. I now hand the conference over to Mr. Saurabh Chawla for the opening remarks. Thank you, and over to you, sir.

Saurabh Chawla: Thank you, Ryan, and good evening, everyone. I welcome our shareholders, analysts and other stakeholders to our Q4 -FY25 earnings call. The past few weeks have been very challenging for our entire nation, and we need to be mindful of the environment as we navigate the coming quarter. Minor turbulence is part of the journey, but our view about the long-term remains intact. Boeing Company forecasts India's air traffic to grow over 7.9% annually through 2043. Indian and South Asian airlines will add over 2,800 commercial aircrafts to their fleet by 2043, of which 90% will come from the Indian airlines. Echoing the sentiment, Netherlands flag carrier KLM is expanding its operations by starting flights to Hyderabad in September. Malaysian airlines also affirm that the Indian market has emerged as a cornerstone for Malaysia Airlines, ranking among the largest and fastest-growing markets in its network, expecting a 14% growth in its passenger traffic flow to and from India in 2025.

Efforts are also underway to establish India as a global transit hub. Air India's "Via" campaign aims to attract foreign travellers by offering enhanced connectivity between the UK, Europe, Australia

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and Southeast Asia through India, with connection times reduced to about two and a half hours. Many of these connections will be serviced by Delhi Airport, which also serves as IndiGo Airlines' largest base with 250 daily departures.

Airports operated by GMR continue to receive multiple rewards and recognitions globally, showcasing how we consistently improve our services while adapting to changes. Delhi Airport, which is the ninth busiest airport in the world as per ACI, was awarded the Best Airport in India and South Asia by Skytrax, with its global ranking improving to 32 in 2025 from 36 in 2024. Skytrax also awarded Hyderabad with the Best Airport staff in India and South Asia for the fourth time, with global rank improving to 56 in 2025 from 61 in 2024, while Goa Airport's rank improved to 80 from 92. Delhi and Hyderabad airports have also been winning the ACI ASQ award for the Best Airport in Asia-Pacific with respective passenger categories for multiple consecutive years.

On that note, let me now delve into our Q4 FY25 performance. Momentum in total income continued with Q4 FY25 at INR29.8 billion, up 16% year-on-year driven by traffic and growth in non-aero revenues, translating to an EBITDA growth of 19% year-on-year with INR11.2 billion. For FY25, the total income was up 18% year-on-year to INR108 billion and EBITDA increased 22.5% year-on-year to INR42 billion. EBITDA margin for the quarter was 51% in Q4 FY25 versus 48% in Q4 FY24. Loss from continuing operations for the quarter was INR2.9 billion versus loss of INR2.1 billion in Q4FY24, while that for FY25 was a loss of 8.2 billion, almost unchanged year-on-year. This is despite a 27% increase in income from interest expenses for FY25 and 30% increase in depreciation, both resulting from capitalization of our expansion capex already incurred. Had the final tariff for Delhi Airport been issued by mid-year, our results would have been substantially better. Looking ahead, given the expected traffic increase and tariff revision, our position will only improve from here.

Consolidated net debt excluding the FCCBs of INR24 billion, which are deep in money, stood at INR315 billion, increasing by INR18 billion versus Q3 FY25. GAL had raised INR15 billion in the form of three-year non-convertible bonds, primarily to purchase the 10% equity stake in Delhi Airport from Fraport, while Bhogapuram availed a subordinated debt facility of INR3.5 billion for its Greenfield project, which is already at an advanced stage of completion.

On the operational front, traffic continues to grow 9% year-on-year and 1% QoQ growth in Q4 FY25,

reaching 31.5 million passengers. This is a number which excludes CEBU. Domestic passenger traffic grew 9% year -on-year, while international traffic grew 11% year -on-year in Q4 FY25. International passenger traffic share for the quarter was 25%. FY25 passenger traffic increased 9% year -on-year to 120.5 million for the group. With respect to specific airports, during Q4 FY25, passenger traffic at Delhi rose 7.5% year-on-year to 20.6mn and rose 7.6% YoY to 79.3mn for FY25. At Hyderabad, traffic was up 21% year -on-year to 7.8 million for Q4 FY25, and up 18% year -on-year to 29.5 million for FY25. Both these airports handled the highest quarterly passengers in Q4 FY25. Goa traffic for the quarter declined 5% year -on-year to 1.27 mn passengers. However, international passengers more than doubled versus last year. For Goa in FY25, traffic rose 7% year -on-year to 4.7 mn

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passengers. As new aircraft deliveries gather pace, we expect strong growth in international traffic as there is latent demand for international travel.

Total income of Delhi airport rose 24% year -on-year to INR16.4 billion driven by traffic growth, increase in non -aero income, as well as income from commercial property development with EBITDA increasing 42% year -on-year to INR5.3 billion

on. At Hyderabad, total income was INR5.9

billion, up 7% year -on-year with traffic driving this growth. EBITDA was up 9% year -on-year to INR3.6 billion. Mopa (Goa) airport reported a total income of INR1,201 million almost unchanged year -on-year as Q4 FY24 had some CPD income arising from signing hotel agreements. The airport continues to report positive EBITDA in its initial years of operation with Q4 FY25 at INR253 million despite a full quarter impact of revenue share kicking in.

Notable achievements during the quarter are :

Non-aero revenue at all our airports was stronger in the quarter. Combined non -aero revenues at Delhi, Hyderabad and Goa airports rose 13% year -on-year both in Q4 and for the full FY25. Duty free SPP at Delhi increased to INR1,010 in FY25 from INR 997 in FY24 while Hyderabad SPP was INR 727 in FY25 up from INR 683 in FY24.

The tariff order for control period 4 for Delhi airport was issued by AERA and new tariffs have been effective from 16th April 2025. With this the aero yield per pax or YPP should now be close to INR 360 versus INR 145 prior to the order. This also should drive a significant improvement in aero revenue, overall profitability and cash flow generation at Delhi airport during the current fiscal year. The share purchase agreement with Fraport towards the acquisition of Fraport's minority 10% equity stake in Delhi Airport was concluded in the quarter thereby increasing GAL stake in Delhi to 74% from earlier 64%. This was done at a deep discount to what the analysts have been valuing Delhi airport.

Moving forward in its strategy towards consolidation of stakes in existing assets, Hyderabad airport entered into a share purchase agreement to acquire 70% stake in ESR GMR Logistics Park Pvt. Ltd. (EGLPPL) from other shareholders at a consideration of INR413 mn. The airport's wholly owned subsidiary GMR Hyderabad Aerotropolis Ltd. already holds 30% stake in EGLPPL and with this transaction EGLPPL will become a wholly owned subsidiary of the airport.

Progress on developing the airport adjacency business continues. We are steadfast in long term strategy of converting GAL into a consumer business with the underpinnings of a utility company. GAL will start operating the Delhi duty -free concession from July 25 and will also take over the operations of duty -free at Hyderabad airport in Q2FY26. Very recently GAL has been granted a concession to operate, maintain and manage the existing cargo terminal at Delhi airport on similar terms to ensure continuity of operations post the termination of security clearance of one of the

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cargo operators resulting in cancellation of that concession. Overnight, GAL had to take over this concession thereby ensuring seamless transition and no disruption of services to customers.

Construction of multiple airport land development projects are underway at all airports.

As of March at Bhogapuram, 69% of physical progress is completed and we expect the airport construction to be completed by December 2026. At Crete 48% has been achieved with our target completion date being February 27.

Credit ratings of Delhi airport were upgraded by Standard and Poor's to BB from BB -, by Fitch to BB+, and by I CRA to AA from AA -. The expected improvement of financials in FY26 will further improve ratings and costs further. At Hyderabad too, Moody's upgraded the credit ratings from BA1 to BA2.

At GMR we firmly believe that integrating ESG principles is crucial for airport operators to build resilient operations, mitigate risks and secure a license to grow with an evolving regulatory and community expectations.

Delhi airport released its sustainability report 2024, a comprehensive disclosure that sets a new benchmark for climate action, innovation and social impact in the Indian aviation industry. The report outlines airport's transformation journey in embedding sustainability to

the heart of its

operations, making it not just India's busiest airport, but also its greenest.

Key highlights of the report are : Delhi airport became Asia's first level 5 carbon accredited airport in over 40 mn passengers per annum category. Delhi airport continues to operate entirely on net renewable energy. Over the last four years the airport achieved a 52% absolute reduction in carbon dioxide emissions and a 36% reduction in carbon dioxide emissions per passenger. Infrastructure projects like Eastern Cross Taxiway and deployment of taxibots and 22 new bridge mounted equipment have dramatically cut aircraft taxing time, fuel usage and greenhouse gas emissions. Delhi airport is on track to become a water positive airport. Through the GMR Varalakshmi Foundation, Delhi airport is actively uplifting the underprivileged communities across the national capital region. It recently implemented a hidden disability sunflower program making Indira Gandhi International Airport a sunflower friendly airport with personalized support for persons with non-visible disabilities. The report is available on Delhi airport's website and I would encourage you to read the report to appreciate Delhi airport's initiatives and actions on the ESG front.

Hyderabad airport achieved a level 5 carbon accreditation under the globally recognized airport carbon accreditation or ACA program, placing the airport amongst the top four airports in ACI, Asia Pacific and Middle East region. Goa airport won Build India Infra Awards in 2025 for sustainability in civil aviation sector.

Our IR presentation with all the financial numbers are already available with you. If not, you can download it from our investor relations section of our website. We are available to respond to your

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questions on this call and offline after the call. Now I would like to open the forum for queries that can be addressed by my colleagues from the corporate and the business teams. Thank you so much.

Moderator: The first question comes from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Good evening, sir, and thanks for the opportunity. My first question is, sir, can you please explain the impact of Delhi tariff order expected on the annual revenues of DIAL ?

Saurabh Chawla: Mohit, we do not give forward guidance on revenues. So the new tariff order we can talk specifics on that aspect of it.

GRK Babu : The current tariff was INR145 yield per pax. Now the revised tariff, which is now implemented from 16 April, 2025, is INR360 yield per pax. That means there is an increase of INR215 yield per pax. So, based on that, you can do the calculation. If it is 80 million passengers, it is about INR1,600 crores upside .

Mohit Kumar: Understood, sir. My second question is on the depreciation and interest. Of course, the interest has seen a sharp increase, Y -o-Y and Q -o-Q. Is this 9 -10 billion quarterly number we should work with for the F26? Is that a fair assumption?

GRK Babu : Increase in the interest cost and depreciation arising due to on capitalization, which has been completed in last year, this is on a yearly basis. This will be more or less the final depreciation and interest cost.

Mohit Kumar: Is there scope for reduction in the interest cost as you go forward? This number looks to be sitting on the higher side?

GRK Babu : There will be some reduction in the interest cost because in the case of Delhi, there is one off about INR80 crores charged because of the cancellation of the hedges and that will not be there going forward. Further, since we have refinanced nearly INR2,500 crores in case of Delhi, from about 12% rate of interest to 9.5%. So, there will be some more savings. So, going forward, there will be some reduction in case of the interest cost.

Mohit Kumar: Understood, sir. Thank you and all the best. Thank you.

Moderator: Thank you. We take the next

question from the line of Karthik Chellappa from Indus Capital

Advisors. Please go ahead.

Karthik Chellappa: Good evening, sir. Thank you very much for the opportunity. Three questions from my side. The first question is, if I were to look at our CPD rental income for Delhi Airport against a run rate of about INR200 crores for several quarters, this quarter we have seen a sizable bump up to about INR383 crores. What has actually driven that and what is a steady state kind of CPD rental that we can actually expect going forward?

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GRK Babu : Okay. This quarter, one of the assets which has been leased out in case of the CPD land, now all the CPs (conditions precedent) have been completed. Hence, IndAS 116 lease financing has kicked in.

So, we have equalized all the MMGs which have been receivable over a period of next 46 years. As a result, there is a bump of about INR188 to INR190 crores this quarter. And going forward on a yearly basis, there will be an increase to the extent of about INR120 crores going forward.

Karthik Chellappa: Okay. So, from here on, the steady state should be somewhere about INR3 to INR3.2 billion per quarter?

GRK Babu : No. INR120 crores increase going forward on a yearly basis.

Karthik Chellappa: Okay. So, 1.2 billion increase on a yearly basis. Okay. Great. Thank you. My second question, sir, is now the FY26 will see the first year of the full effect of the new YPP. So, I don't mean it in the form of a guidance, but if I were to just do a basic math of keeping all other things equal, our aero revenues will now more than double. And if I keep our interest depreciation, everything constant, is it reasonable to assume that FY26 Delhi Airport should be able to break even?

Saurabh Chawla: I think that would again allude to guidance. I really don't want to give that forecast to you, but there is a significant improvement if you look at the Delhi Airport's P&L. And if you impute the numbers that you're articulating, I think the results will be quite obvious over there.

Karthik Chellappa: Okay. Great. My last question, sir, is on Hyderabad Airport. What we have seen is this quarter, there has been a sequential softness in the EBITDA margins for the Hyderabad Airport. And the effective tax rate this quarter has also been very high, almost about 44%, 45%. So, could you please clarify what led to the sequential softness and also the effective tax rate?

Saurabh Chawla: Just one minute, please.

Karthik Chellappa: Sure.

Amit Jain: Karthik, if you adjust this with respect to other income, you will see an improvement in EBITDA margin is mainly because in Q4, the other income is lower compared to Q3. That's the main reason.

Karthik Chellappa: Okay. Because even if I adjust the other income, even if I exclude it, there seems to be a reduction. So, that was why I was curious to see whether there was anything else apart from other income?

Saurabh Chawla: No, there could be some year-end expenses.

GRK Babu: Year-end expenses have been booked. Some of the expenses which have come around INR10 crores rupees extra, which has been accounted for. And as far as the tax is concerned, it is only in a book entry. And we actually take MAT credit back into the books. Hyderabad Airport is not paying any taxes as of now.

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Karthik Chellappa: Got it. So, which means the steady state tax rate, I mean, it's not paying any taxes, but the steady state tax rate should continue to be about 33%, 34% then, right?

GRK Babu: No, this is actually what we have accounted for is only a MAT. It is not full tax. We are under MAT because we have carry-forward losses available under income tax.

Karthik Chellappa: Okay, excellent. Just one follow-up, sir, if I may, to your earlier comments that you made at the beginning that the economic environment had been a bit volatile in the first two months because of the developments recently.

Has that had any impact on your volumes or your forward bookings in the short term? And if yes, how long do you expect that to last, whether it is in Delhi or in Hyderabad?

Saurabh Chawla: Basically, you are talking about the India-Pakistan issue and the impact on the traffic. So, honestly, it's a very minimal impact on traffic. It was only certain airports in North India to be shut down during those operations, during those 7-10 days. Minimal impact with the size of operations at Delhi. Hyderabad almost no impact and now we see a comeback even in those jurisdictions.

Karthik Chellappa: Excellent. Okay, that's it from my side, sir. Thank you very much and wish the management team all the very best for FY26.

Moderator: Thank you. We take the next question from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: Hi, good evening, sir. I have a few questions. Firstly, on the CPD income jump. So, we are implying that our annual CPD income at Delhi will jump from around INR800 odd crores to INR920 - INR930 odd crores going forward annually. Is this the right assessment? Also, related question, what is the timeline of other Real Estate projects which are going to commission including Bharti Realty starting to give you lease rental and other projects including the destination mall which we are building in that location?

Saurabh Chawla: Prateek, I have here Aman Kapoor who heads our CPD business over here. So, he will guide you on developments in that business. Aman.

Aman Kapoor: So, with respect to Bharti, in the first phase of the 5 million square feet FAR that was granted, almost 55% will get ready and commissioned by third quarter of this calendar year. That has no impact on revenues for DIAL because there is no revenue share and the fixed land rentals are continuing to be paid. So, it has no necessarily an economic impact. With respect to the shopping center, it is expected in first quarter of 2028 to start operations. From this financial year onwards, the minimum guaranteed rent has kicked in and that will continue to be paid irrespective of whether the project is completed or not. So, that's what the straight lining which GRK Garu had highlighted, explained earlier.

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Prateek Kumar: And the Bharti Phase 2, when is that supposed to come in picture in terms of rentals, contribution to DIAL?

Saurabh Chawla: Well, they have a right to choose up until end of FY, I think it's the year 2027. They have a right to

exercise that option.

Prateek Kumar: So, from FY '28 onwards, we should probably render that number?

Saurabh Chawla: Yes, if they exercise that option. Correct. Then the rentals will start kicking in.

Prateek Kumar: My other question was regarding Delhi duty -free. We have given this data on annual numbers for the big entities, duty -free, cargo, et cetera. That shows that EBITDA and PAT for the financial year '25 has INR340 crores and INR205 crores. That seems to suggest a very small growth year -on-year, like basically compression of margins and almost a decline in PAT, while the top line thinks it to be growing well. Why is that specifically?

GRK Babu : This is basically, if you look at it, FY'23-24 the duty -free was getting the refund of ITC on both arrival at departure stores. So, they got a benefit of about INR50 crores to INR60 crores. Whereas the government has withdrawn on arrival store and they are allowing only on departure store the ITC credit going forward from October 2023 onwards. As a result, if you compare '24 and versus '25, even though turnover has gone up, because of that ITC credit not available in FY '24 -'25, it has come down. So, it's just a 4% impact.

Prateek Kumar: So, it's a sustained impact. So, is this below EBITDA or above EBITDA line item?

GRK Babu : That was above EBITDA line item.

Prateek Kumar: So, your top line has grown 14%, EBITDA has grown 3% and PAT has d

eclined by around 10% in FY

'25 in this segment. So, that's why the question was there. So, I am not sure if it is completely explained. So, there are line items below EBITDA also which explain the PAT performance?

GRK Babu : Below EBITDA, there are no issues. So, below EBITDA is basically the last year profit versus this year profit. Profit has come down mainly because of the ITC refunds which they used to get. They used to put less cost in FY'23-'24, whereas 100% cost has been accounted for in FY'24-'25. That is the reason why at EBITDA level it has come down compared to FY'24-'25. And going forward that will be the final.

Saurabh Chawla: So, Prateek, your EBITDA margins in your duty -free business maybe about 15% to 17% going forward. Taking into account this one -time adjustment of withdrawal order from the government.

This was as against 20% EBITDA margin earlier. So, from your modeling perspective, you should assume about 17% EBITDA margin.

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Prateek Kumar: Sure. And lastly on net debt, now touched INR31,400 crores in this quarter. How do you see net debt in FY '26 from here and what is the capex expectation in FY '26 for the overall operation?

GRK Babu : There will be an addition because the Bhogapuram construction is happening. If you look at it in this INR31,000 crores, the Bhogapuram is accounted for only INR1,400 crores, INR1,500 crores So, we will be drawing additional INR1,700 crores in this FY'25-'26. So, to that extent, the debt can go up further. And GAL level also we have raised INR400 crores in April and we may likely to raise another INR200 crores - 300 crores in this financial year. So, about INR700 crores also GAL level will go up. So, total about INR 1700 crores plus INR 700 crores so overall it can go up by INR2,400 crores.

Prateek Kumar: This is the gross debt but net debt because your EBITDA cash accruals have also increased significantly because of tariff benefits in GAL. So, net debt can continue to go up or that may have peaked in FY '25?

Saurabh Chawla / GRK Babu : So, net debt will also go up slightly but not as much as the gross debt is because of the cash accruals,

because of the enhanced tariff that we have now in place. Because DIAL will throw a good amount of cash because of implementation of the tariffs. So, that cash accrual will be there. Gross debt may go up by around INR2,500 crores but net debt may not go up that much.

Prateek Kumar: Sure, I will get back to the queue. Thank you.

Moderator: The next question come from the line of Dario Maglione from BNP Paribas. Please go ahead

Dario Maglione: I have two, if I may. One is on the Noida Airport just outside Delhi. It should open in the next few months. So, are you seeing any impact on airline scheduled capacity for the New Delhi Airport? And question number two is on, actually, Group ADP, as you know the CEO has changed at the beginning of the year and on the full year results call, the CEO mentioned that one of the pillars of his strategy is to get basically dividends from international assets including GMR airports. However, he also mentioned previously that there is a lot of opportunity to invest in India. So, within this context, when do you think that GMR airports will pay dividends? Thanks.

Saurabh Chawla: Yes, so on Jewar, honestly speaking, the opening of that airport is quite complementary to our Delhi Airport. Delhi Airport as you know we have expanded our capacity to about 100 million passengers.

And there will be some, we would actually encourage some of the low yielding traffic and when I say low yielding traffic is, the ATRs and some domestic traffic, which does not spend too much at my airport to move over the next three to four years. It's not going to happen immediately. But next three to four years is what we expect that to happen, which is beneficial because my international airport, international traffic is growing quite robust

ly and that will release the capacity at the airport on the air side of it for the aircraft movements. So, it's very complementary for us that Jewar will open. The market itself is growing almost, 8% to 10% every year. There is enough for everybody. From a competitive scenario, Jewar Airport is almost, 70 -80 kilometers from centre of Delhi . So, purely from a distance perspective, it doesn't serve the main Delhi and Gurgaon clientele. Even

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Noida clientele, it doesn't service. It does service the greater Noida. And the catchment area for that is mostly Agra and Aligarh areas, which are from an economic standpoint a notch lower than the high yielding passenger traffic that we have from Delhi, Gurgaon and also other northern parts of India. So we expect that, as time goes by and over the next two to three years, as our capacity starts to reach about 100 million passengers, we expect some of the low yielding passengers to continue to move away from Delhi airport. And we concentrate on the high -yielding passengers, which are usually the international traffic of full -service airlines.

So that's the strategy. In nutshell, Jewar is very complementary to our business model. And as we go forward, we will continue to work with airlines to facilitate, their slots over here at Delhi airport. I just want to highlight one aspect that airlines don't give up slots. Once they get hold of slots, they hold them very, very dearly. But yes, on the low yielding ones, we would encourage these airlines to move to Jewar.

On ADP, I just want to again highlight, Philippe Pascal has taken over as the Chairman and Managing Director of ADP. Philippe was the CFO when we did the transaction in 2020. And he was one of the persons who negotiated with us. He fully understands the spirit behind their investment in GMR airports. And so we have a very strong relationship with the current senior management. Many of them have also worked for a brief period of time at GMR airports here in New Delhi. So from a transition perspective, we don't expect any turbulence. There's total alignment of strategy and objectives between Groupe ADP and GMR as far as the GMR airports business is concerned. With respect to dividend outlook, we have always highlighted that we should be achieving, on a consolidated level at GAL, FCFE positive status by FY'28. And the prerogative of giving dividend, of course, is with the Board of Directors. I really can't speak for them. All I can highlight to you is that purely from a cash flow perspective, going forward from FY'28, GAL would be in a position to give dividends as it goes forward. So we will, of course, guide the markets as we reach that milestone. But that's what our thought process is, that GAL should be a dividend paying entity for its shareholders. As you would have seen during last fiscal year, Hyderabad Airport has already declared dividends which have come to GAL . With the new tariff order Delhi should also start giving dividends after three years. Hence, we believe that also by that time, the transition of the non -aero businesses into GAL would be mature enough. So enough cash flow generation would have started to happen at GAL, facilitating any outflow of dividends from FY'28 onwards, that's my, guidance.

Dario Maglione: Okay. Thank you very much.

Moderator: The next question comes from the line of Nidhi Shah from ICICI Securities. Please go ahead.

Nidhi Shah: Yes, so my first question is, now since the cancellation of the Celebi in Delhi, who is managing it? Is it DIAL or is it GAL? And what are the revenues and PAT for FY '25 and what can we expect for FY26?

Rajesh Arora : Yes. So this is being managed by GAL now in terms of concession being taken over by GAL. And in terms of the revenues for FY '25, they clocked about INR780 crores and with a PAT of INR 120 crores.

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For FY '26, this will be a forward -looking number.

r. So maybe I'll, not talk about that, but you can assume reasonable growth over the numbers what I've just told you.

Nidhi Shah: And the Delhi duty -free, could you disclose the revenues and PAT for FY '25 if I missed it earlier ?

GRK Babu : Delhi duty -free FY '25 clocked a revenue of INR2,200 crores with a PAT of about INR210 crores.

Nidhi Shah: And lastly, just at the Hyderabad airport duty -free, has that moved from GMR Hospitality and retail to GAL?

GRK Babu : Yes, it started moving into the GAL and full -fledged operations will be started by GAL from July 25.

Nidhi Shah: All right. Thank you so much.

Moderator: Thank you. The next question comes from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia: My first question links to the (traffic) growth we've seen in recent months at the Delhi airport. It started becoming more like a 6% kind of trend. Could you give us a sense of why growth appears to be kind of slowing down in these months - March and April? Because I would want to assume that like Hyderabad, capacity is only expanding. And could you give us a sense of how to kind of then think through about growth happening in Delhi?

GRK Babu : In terms of the Delhi, I think March has clocked very well and April. Since the base is very high, Delhi always growth is between 5% to 6%, maximum 7%. When it comes to Hyderabad, the base is very low, which is about 24 million. It has achieved 29 million. The growth is 17%. And as far as the capacity is concerned, Hyderabad has been built for 34 million capacity. And it has closed with 29

million this financial year. Next year, we are expecting to touch about 32 to 33 million.

Aditya Mongia: Essentially Delhi should be on the stable 5% -6% growth pattern here onwards given the high base

Saurabh Chawla: Yes, between 6% to 8% is the growth you can assume at Delhi airport, given the fact that today we are doing almost 80 million passengers. The base is so high.

Aditya Mongia: Yes. So it's not a capacity issue right now, right? It's just the way the demand is panning out in recent months. And it's getting slightly better?

Saurabh Chawla: Also, Aditya, capacity is already done. The airside capacity is fully completed. We don't have to put in any capex to increase the airside capacity. The airside capacity will only now increase due to technological improvements for better ATM management. It can go up to almost 140 million there.

But for that, you have to continuously work with the regulator, which is DGCA, to improve the software and other equipment over there. On the city side is where we have 100 million terminal capacity as on date. We can sweat these assets to take it to about 120 million. And if we reach that level, it's good news for all of us. And if we need to put some capex to further enhance the terminal

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to balance the capacity, we will do it at that point of time. So now it's only a question of passenger throughput. And for that, the best guidance you will get, at least in the listed space, is from Indigo. And I think I read today there was some news reports of Indigo that almost 80 aircrafts which were grounded are coming back over the next 6 months with their Pratt & Whitney engine issues getting resolved. So as the aircraft supply increases, the supply side will get de-bottlenecked and obviously, Delhi being almost 30% to 40% market share in India, that will also flow through Delhi. And last but not the least, will have a positive impact on fares, which will again put some tailwind on the demand for flying.

Aditya Mongia: Understood. That clarifies. The second question that I had was that, again, trying to kind of pick your brains up. You said 13% is a non-aero growth for the three aggregate assets in the fiscal and about I think 10% -ish is the growth in pax count. So it's about 1.3x that is happening in terms of growth and obviously in

flation. It doesn't seem as if beyond inflation, any other meaningful factors that should be driving up performance, penetration, premiumization, so on and so forth, is helping us right now. How soon should we be expecting more than kind of a 3% differential in non-aero revenue growth versus the pax growth for the three assets that we have?

Rajesh Arora: Yes. Aditya, if you would have seen even in the past, our growth of SPP, which is growth over the normal traffic growth, has been in the range of about 5%. And that is like with the available space and all that. As we go forward, and you would have seen in case of Hyderabad airport duty-free business, the SPP growth has been significant. This was with the expanded area with the new offerings. So our focus is on three counts. One, how do you get more space to cater to the additional offerings? Second, in our given space, how do you bring in premiumization? So what we are doing is like in Hyderabad, we are bringing in reach to luxury and luxury segment as part of our retail offering. Similarly, on the F&B side, we are bringing in Michelin star restaurants. So those are the steps which are being taken to bring in premiumization of the offerings, more space, and also basically bringing in the differential product offerings here. So that's something that is now the focus and which will be driving our further growth beyond what you generally call it as an enduring growth for SPP.

Saurabh Chawla: Also Aditya, I think you need to take into account as the concession of the previous concessionaire was ending, obviously the focus was more on the transitioning aspect rather than on the growth aspect of it. As it comes back to GMR Airport fold, full efforts will be there to put the necessary investments, both from area space perspective, brands perspective, to take it to a different level.

Aditya Mongia: Understood. Third question that I had was on the part beyond the three airports in terms of revenues and EBITDA. And thank you so much for providing color in the presentation to the extent that you have. It's very helpful. The way I see through it, the additional EBITDA, the other three assets, is coming in from two buckets, one of which is very clear, the facilities of yours, the hotel, the duty-free in Hyderabad, parking in Delhi. The other half has been clubbed up inside GAL standalone as an EBITDA. And by the way, this is a fairly high EBITDA margin business that is getting clubbed up. Could you give us a sense of this bucket and what are the key drivers and how should

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we be taking to growth in this fairly large EBITDA item which is all clubbed up for now? Clarity would be useful.

GRK Babu: Basically, in case of the GAL, the revenues are, we put it in three buckets. One is basically the management fee and operator fee which we collect. The second one is the interest income. The third one is the adjacency business non-aero, basically four verticals. One is the retail, other one is the cargo, third one is the car park, and fourth one is the duty-free. So now all those things have started showing in this current financial year in GAL, which are likely to grow substantially going forward, especially duty-free, where we are taking over the Delhi as well as Hyderabad duty-free,

which will start operating from July 2025 onwards.

Saurabh Chawla: So, in a nutshell, I think what GRK Babu is highlighting to you is that this is mostly management fee, dividend earned from Hyderabad, and interest earned from loans extended towards subsidiaries.

That's the component that today that bar represents. But as the transition happens of the non-aero businesses, this component as relative to the growth of the other component will slowly come down, and operating income will substantially go up.

Management: So, operating income in the FY '26 can go as much as more than INR2,200 crores.

Aditya Mongia: From th

e existing INR800 crores, INR900 crores that is there, maybe in this bucket at this point of time. Now, I just wanted to kind of clarify, will you be adding in the next year, Delhi duty-free to GAL? You will be adding Delhi cargo to GAL?

GRK Babu : That's correct . Delhi duty-free, Hyderabad duty-free, both will be operated by GAL from July 2025.

That's what I said, the current financial GAL has closed with a turnover of about INR1,200 crores, with EBITDA about INR600 crores, which will substantially go up the next financial year because of adding of the duty-free business. And EBITDA also will substantially go up.

Aditya Mongia: And in this case, are you also counting in Delhi cargo and Hyderabad warehousing ventures? Will they be over and above INR2,200 crores?

Amit Jain : Aditya, sorry to intervene, there are two other participants also in the queue. I would request if you can come again in the queue.

Aditya Mongia: Thank you so much for your response. Thank you.

Moderator: Thank you. We take the next question from the line of Karthik Chellappa from Indus Capital Advisors. Please go ahead.

Karthik Chellappa: I just have one question to a comment that you had made earlier, that you expect the gross debt to still go up by about 24 billion, split between Bhogapuram, which would be another 17, and another 6 to 7 at the holding company level. So am I correct factually?

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GRK Babu : Yes, correct. You're absolutely right.

Karthik Chellappa: Okay. So just one question on that. Number one is Bhogapuram is already 69% complete. In other words, almost more than two-thirds complete. And if I look at the net debt on Bhogapuram, it's already about 17 billion. But if we are borrowing another 17, it's almost doubling the borrowing there for an additional 30%. So how do I reconcile that?

GRK Babu : No, the physical progress we are showing, but billing has not happened from the contractor. So we continue to pay them as and when the bills have been received. There will be always a lag to the extent of INR300 crores to INR400 crores in payment. It is not because we don't have the money, because they take more time to submit those , Number one. Number two, the total debt for Bhogapuram Airport itself is INR3,215 crores. That means we have raised about INR1,400 crores to INR1,500 crores. Another INR1,600 crores to INR1,700 crores we have to raise to complete the project. Complete and pay all the loans.

Karthik Chellappa: Excellent. One last question, sir. On the holding company debt, where you're raising another 6 to 7 billion, what would that be employed for?

GRK Babu : Basically, about INR250 crores is the deposit which we have to give to DIAL for the duty-free business. We also have to make equity investment in case of Nagpur Airport to the extent of about INR200 crores. And we also have to make another INR110 crore rupees equity investment in case of Bhogapuram. And other small other requirements. All put together about INR6 - INR7 crores.

Karthik Chellappa: Okay. Thank you very much for this detailed clarification, sir. That's all from my side.

Moderator: Thank you. We take the next question from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: Yes, thanks for the opportunity again. I have just a couple of questions. Firstly, because of this Pakistan airspace ban and diversion of traffic routes because of that, has there been any instance of some airlines shifting traffic to maybe Mumbai? Or do you foresee that happening?

And second question is, which is a different question, on regarding new concessions, like government has recently approved few new greenfield projects at Odisha, Kota and Chennai part 2. So how are we looking at these concessions coming up?

Saurabh Chawla: So typically, I'll just say that there is no movement of traffic from Delhi to other airports because of the airspace having got shut by Pakis

tan. And actually, most of the foreign airlines are now operating. They started to operate through Pakistan airspace. Indian owned airlines or Indian flag airlines are not operating. So there was no movement away from Delhi. So that is one feedback.

Rajesh Arora : On the part of the new Chennai second airport and other opportunities, these are the projects which we look at on the merit of it. And as and when those processes are launched by the

government, yes, we definitely have keen interest in all opportunities in India. But it should be value accretive to all the shareholders. So those will be evaluated and considered on the basis of merit of that opportunity.

Prateek Kumar: Thank you.

Saurabh Chawla: Again Prateek, very simply put, today I am at about 120 million passengers. Going at about 8% to 10% every year. I want to make money on the investment we have already done. I am under no pressure, obligation or optical reasons to have more airports under my belt. As a preference, we like to put more money to work in Greenfield airports. Let's see what the terms and conditions come for these Greenfield airports. But we are hungry for returns. We are hungry for dividends. And we will grow our current portfolio to whatever levels of capacity that we have created. So that is the only guidance I would like to give to you.

Prateek Kumar: Thanks for the clarification.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question and conclude the question -and-answer session. I now hand the conference over to Mr. Saurabh Chawla for his closing comments.

Saurabh Chawla: Thank you friends for joining us on this Q4 FY'25 and Annual results call. I hope we have been able to satisfy all your queries. But in case you have any further questions, the IR team is available offline both through email questions or by having a call with them. I urge you to contact them and clarify your questions. And look forward to meeting with you very soon. Thank you so much.

Moderator: Thank you. On behalf of GMR Airports Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: Transcript has been edited to improve readability

Call: Jul 2025

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GMR Airports Limited
(formerly known as GMR Airports Infrastructure Ltd)
Q1FY2026 Investor / Analyst
Conference Call Transcript
July 30, 2025

Moderator: Ladies and gentlemen, good day and welcome to GMR Airports Limited (formerly GMR Airports Infrastructure Limited) Conference Call to discuss Q1 FY26 Result. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this call has been recorded. We have with us today Mr. Saurabh Chawla, Executive Director, Finance and Strategy. Before we begin, I would like to state that some of the statements made in today's discussion may be forward-looking in nature and may involve risk and uncertainties. Also, recording or transcribing of this call without prior permission of the management is strictly prohibited. With this, I now hand the conference over to Mr. Saurabh Chawla for opening remarks. Thank you and over to you, sir.

Saurabh Chawla: Good afternoon, everybody. I welcome our shareholders, analysts and other stakeholders for our Q1FY 26 earnings call. Despite global disruptions, the demand for air travel remains resilient and is accelerating. Over the past decade, the real cost of flying has dropped from by about 40% as per IATA, making air travel more accessible to millions even amid rising operational costs and taxes. The challenge today lies not in demand but in supply. Aircraft production delays have constrained fleet expansions. As Air India CEO noted, available capacity has been nearly exhausted. Indigo's recent MOU with Airbus for 30 additional Airbus A350 with options for 40 more signals strong long-haul ambitions. Encouragingly, Airbus is now seeing initial signs of stabilization in its supply chain and aims to ramp up Airbus A320 production to 75 aircrafts per month by 2027, up from a current 60. For us as airport operators, this translates into sustained traffic growth, increased route connectivity and greater infrastructure demand. We are strategically positioned to capitalize on this momentum with investments already undertaken in capacity expansion, digitization and passenger experience. In conclusion, despite short-term disruptions, the long-term fundamentals of air travel in India remain exceptionally strong. We are confident in the sector's trajectory and committed to delivering value through operational excellence and strategic foresight. On that note, let me delve in our Q1FY 26 performance.

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Momentum in total income continued with Q1FY 26 at INR32.2 billion, up 33% year-on-year driven by growth in revenues across all business segments, especially due to the revised tariffs at Delhi Airport, which have been effective from mid-April. This has translated into an EBITDA growth of 26% year-on-year to INR12.8 billion. EBITDA margin for the quarter was stable at 51% Q1FY 26 despite a forex loss hit of INR1.4 billion in Q1FY 26 as the Euro-INR rate reached 100 in June from 92 in March, which led to a non-cash mark-to-market impact on our profit and loss statement. At this stage, I would like to highlight that this is a notional loss as the FCCB strike price is at 43.50 and no holder will ask for redemption given that the instrument is deep into money given the current stock price. Hence, logically it should be treated as equity and not debt. Due to the country's accounting standards, we still recognize it as debt in our books. It may also be noted that once these FCCBs convert into equity, all these provisioning will be written back as one-time profits. This aspect must be taken into account for financial performance.

Loss from continuing operations for the quarter was INR1.4 billion versus loss of INR3.4 billion in Q1FY25. But for the forex hit, GAL would have been at near break-even point at the PAT level. Consolidated net debt excluding FCCBs of INR26.2 billion which are deep into money stood at INR25 billion, increasing by INR14 billion versus Q4FY 25. GAL had raised INR15 billion in the form of 3-year non-convertible bonds in Q4FY 25, mainly for financing the purchase of Fraport's 10% stake in DIAL, of which the balance INR4 billion was received during Q1FY 26. Net debt at Bhogapuram increased by INR3.2 billion, which is going towards the Greenfield Project construction costs. Net debt also increased by INR2.6 billion due to the impact of consolidation of ESR GMR Logistics Park Private Limited, which is now a wholly owned subsidiary post the acquisition.

On the operational front, traffic growth at GAL-operated airports continues with the total traffic up 4% year-on-year in Q1FY 26, reaching 30.1 million passengers. And this excludes Cebu because we have already sold our equity in Cebu. Hyderabad Airport handled the highest-ever quarterly traffic of 8.1 million passengers in Q1.

Despite the temporary disruption of traffic in Delhi due to the India-Pak and Israel-Iran conflicts, total income at Delhi Airport rose 37% year-on-year to INR17.7 billion. While growth in non-aero

and CP D income was healthy, the primary driver for the sharp increase in total income was the aero revenues, which rose 127% year -on-year as the revised tariffs were implemented from mid -April onwards. As a result, quarterly EBITDA reported was the highest in 4 y ears, increasing 62% year -on-year to INR6.3 billion. With this, the airport has begun its journey towards profitability. At Hyderabad, total income was INR6.2 billion, up 8% year -on-year with traffic driving its growth. EBITDA was up 8% year -on-year to INR3.9 billion. This is the highest quarterly EBITDA on record for Hyderabad Airport, and the airport has continued to be PA T positive. Mopa, which is the Goa airport, reported a total income of INR1,024 million, up 8% year -on-year. The airport continues to report a positive EBITDA, with Q1FY 26 EBITDA number of INR232 million despite the impact of revenue share.

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Notable achievements during the quarter are :

Non-aero revenue at all our airports was strong in the quarter. Combined non -aero revenues at Delhi, Hyderabad and Goa airports rose 15% year -on-year in Q1FY 26. Duty -free SPP at Delhi increased to INR1,033 in quarter one, up from INR1,019 in Q1FY 25. While at Hyderabad, SPP was INR769 in Q1FY 26, up from INR715 in Q1FY 25.

Earlier during the month, the TDSAT, which is the Telecom Dispute Settlement and Appellate Tribunal, q

uashed and set aside the calculation of HRAB, which is hypothetical RAB, by AERA (Airports Economic Regulatory Authority of India), for Delhi Airport. TDSAT has now directed AERA to include both aeronautical as well as non -aeronautical revenues and costs for fiscal year 2008 - 2009 while arriving at the calculation of HRAB and has given it 12 weeks to complete the revised calculation. The 12 weeks starts from 1st July onwards. This sets the stage for DIAL or Delhi Airport to claim under -recovery in aero revenues since control period 1 and we have a fairly high degree of confidence of getting this implemented.

Hyderabad airport declared a second dividend of INR2.5 per share for FY25, taking the total dividend for FY25 to INR10 per share or INR3.8 billion, of which GAL's share amount amounts to INR2.8 billion.

Moving forward in its strategy towards consolidation of stakes in existing assets, Hyderabad airport concluded a share purchase agreement to acquire 70% stake in the ESR GMR Logistics Park Private Limited from other shareholders at a consideration of INR413 million. With this transaction, EGLPPL has now become a wholly owned subsidiary of Hyderabad airport. This transaction is highly value accretive to GAL with IRRs expected to be in high teens while the cost of debt is in single digits. This acquisition will further strengthen airport -based industrial and warehousing po rtfolio.

Progress on developing the airport adjacency business is gathering pace. We are steadfast in our long -term strategy of converting GAL into a consumer business with the underpinnings of a huge utility company. GAL has recently completed the takeover of Delh i duty -free concession and will also take over the operations of duty -free at Hyderabad airport in Q2FY 26 as per our earlier guidance. As you know, GAL has been granted a concession to operate, maintain and manage the existing cargo terminal at Delhi Airport on similar terms to ensure continuity of operations, post termination of security clearance of one of the cargo operating companies resulting in the cancellation of the concession. GAL financials have already started reflecting the upsides from these transactions as cargo was operated by GAL for 1.5 months and has started operating Delhi duty -free from 28th July.

Construction on multiple airport land development projects is underway at all airports. Delhi Airport signed an agreement with Hilton Hotels & Resorts for development of hotels under the Waldorf brand and Hilton brands. Waldorf is 150 rooms and Hilton is 3 50 room s project . At Hyderabad, an operator agreement has been signed with IHCL for a 170 -key hotel project under the Taj Vivanta

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brand. Construction is steadily progressing on all airports on multiple projects, details of which are available in our results presentation.

Credit rating of GAL, the listed entity, was upgraded recently by CRISIL which assigned A+/Stable rating for the proposed INR60 billion non -convertible debentures to be issued by GAL. CARE also upgraded the rating of GAL's rupee -denominated rated and listed NC Bs to CARE A from CARE BBB+. As we have been alluding to in the past, this was an expected event given our strategy and outlook for the L ist Co , which is GMR Airports Limited. Additionally, India Ratings and Research upgraded Delhi Airport's debt instruments to AA from AA - with stable outlook.

MRO operations at Hyderabad Airport signed a 3 -year agreement with the Akasa Air for base maintenance and support for its Boeing 737 MAX fleet. The current fleet size is about 30 aircrafts. Work on the new airport construction is steadily progressing. At Bhogapuram, 80% of the physical construction has been achieved as of June 25, while at Crete, 54% has been achieved. Airports operated by GMR continue to receive multiple awards and recognitions globally,

showcasing how we consistently improve our services while adapting

to changes.

As we expand our airport operations, we remain deeply committed to the ESG principles. Sustainability, inclusivity, and strong governance are integral to how we design, build, and manage our businesses and infrastructure. GAL witnessed significant improvement in ESG ratings across both, Standard & Poor's, Corporate Sustainability Assessments and Sustainalytics ESG Risk Ratings, driven by focused ESG initiatives, enhanced transparency, and public disclosures. More details are available in our IR presentation.

The presentation with all financial numbers are already available with you. If not, you can download it from the IR section of our website. We are available to respond to your questions on this call and offline after the call. Now I would like to open the forum for queries that will be addressed by my colleagues from corporate and business teams. Thank you so much.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Mohit from ICICI Securities. Please go ahead.

Mohit : Yes, good afternoon and thanks for the opportunity. My first question is on the hypothetical RAB. Of course, you received a very positive order from the Supreme Court and the TDSAT. My question is, once let's say this value gets crystallized, right, do you think this will get implemented in near time or do you think this will get implemented in the next control period?

Saurabh Chawla: So, honestly speaking, as a commercial organization, we would like it to be implemented immediately. But there is a process of law and there is a regulator. So, we really actually can't guide you as to when it will get implemented. At first stage, I think the AERA has to compute the numbers

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and represent it back to the Supreme Court and the process will go from there on. GRK Babu, you can add to this now.

GRK Babu : Yes, sir. I think the TDSAT order is very clear that the HRAB has to be recomputed and whatever the earlier computation done by the AERA has been quashed. So, the order says that in 12 weeks they have to compute and implement it. But as you know that law takes its own course, that AERA has got an opportunity that they can appeal. So, it will be very difficult to say that it will be implemented immediately.

Mohit : Understood. My second question is on the INR142 crores of loss which has been booked in the foreign exchange. Is this entire thing linked to the MTM impact on CC D? Is that understanding right?

Saurabh Chawla : So, it is the forex loss which is booked on an MTM basis on the FCCB interest. So, that instrument itself is well into money and that's what I had highlighted in my opening remarks. There is no possibility of that being treated as debt. Most of the analysts, of course, treat it as equity anyways. And even in our representation on our debt, we exclude the FCCBs over there. So, it is purely following the accounting standards of the country and we expect that once these are converted into equity, all these notional provisioning that are being done on a quarterly basis will all be written back as exceptional profits at the time of that conversion.

Mohit : Understood. My question was that the INR142 crores that is booked entirely is linked to CC D. Is that understanding right?

Saurabh Chawla : Correct.

Mohit : My third question is, how is the Delhi duty-free grown in Q1 FY26 compared to last year? Do you think there was underinvestment in the asset because of the transition?

Saurabh Chawla : I will ask Rajesh to respond to this topic.

Rajesh Arora : So, Mohit, this Delhi duty-free transition is only happening now, 27th of July. So, the first quarter was purely as is business as usual. So, no impact of the transition over there. In terms of its growth the non-aero revenue for duty-free has grown by about 4%.

Mohit : Understood, sir. My question was, was there underinvestment

in the recent past because of

transition? Because you were taking over, the other guy was not interested in investing in the asset.

Rajesh Arora : No. So, primarily there are two things which are there for running the business, is the shop, the way you do the fit out in the shop and the inventory. So, the business was being run because we were also a joint venture partner in that. So, there was no such thing where we cut down the investment requirement over there. So, no impact because of that.

Mohit : Understood, sir. Understood. Thank you and all the best, sir. Thank you.

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Moderator : Thank you. The next question comes from the line of Nirav Shah from GeeCee Holdings. Please go ahead.

Nirav Shah : Yes, good afternoon, sir, and congrats on a solid set of performance. So, a few questions. Firstly, on our Hyderabad cargo and MRO business, last full year we did an EBIT of INR275 crores and this quarter itself we did around INR98 crores. Now, you have mentioned in your opening remarks about

a 3-year contract with Akasa. But from here on, what kind of quarterly revenue can we expect?

Because it's a pretty strong number that we have reported at this segment.

Saurabh Chawla : So, Nirav, I will, of course, ask Rajesh to respond. But, we really do not give guidances on any future outlook. All that we can say is that it is a robust business and with increasing aircraft coming into the country, the outlook is very positive on the MRO business of ours. But Rajesh, I will leave it to you to talk more about it.

Rajesh Arora : Saurabh, you already covered it well. So, in terms of the MRO business per se, in terms of its growth potential, Saurabh has already talked about this, the kind of order book we have in terms of maintenance and the order book what airlines have placed. So, it's on a real good growth trajectory and we'll leave it there without giving any guidance on the numbers going forward.

Nirav Shah : Okay. But just the utilization of our assets over there, I mean, the area, was it the optimum or there is still room to grow?

Rajesh Arora : So, there is some room to grow. We are also looking at the expansion of the capacity. That's, again, need-based depending upon the order book what we'll have. But yes, as you know, it does not require a very significant investment in terms of hangers and all that. But yes, we are evaluating the possible options of expansion.

Nirav Shah : Got it. Second question is on Delhi duty-free. I mean, in the last call, we did mention that from this year onwards, the margin should be somewhere around 17% range and we have reported around 14%. So, is it something like this just seasonality or we should revert to 17% on an annualized basis?

Rajesh Arora : We are still targeting our margins in the range of 17% and it could be some impact of seasonality here. Plus, as we will go, we are also looking at some efficiency coming in our procurement processes. So, that will further add to our margins.

Nirav Shah : Got it. Lastly, on the proposed, I mean, this INR6,000 crores of non-convertible bond, I mean, that will be used to refinance the Holdco debt. Am I correct?

Saurabh Chawla: Yes, Nirav. You are correct.

Nirav Shah : So, what is the current blended interest cost or what is the savings that we can expect once this process is completed? And then by when will we reach this convertible bond? What's the plan over there?

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Saurabh Chawla : GRK Babu, do you want to comment here?

GRK Babu : Yes. The blended cost currently is around 14% and we are looking for a substantial reduction in the interest cost. Number two, we are trying to see and we have been discussing with the bankers and everybody, we are trying to complete the transaction by second week or third week of August.

Nirav Shah : Got it. Great, great. That's really heartening and thank you, sir. And all the best.

Moderator : Thank you. The next question

comes from the line of Karthik Chellappa from Indus Capital Advisors.

Please go ahead.

Karthik Chellappa : Yes. Thank you for the opportunity, sir. I have three questions. The first one is, if I were to look at Delhi Airport, this quarter, if I exclude the exceptional item of about INR91 crores of gain, there is still a loss of about INR42 crores, although it is down significantly year on year. Now, assuming that given that the aero tariff change is already in, if we were to see a traffic revival in the remaining quarters, can we reasonably assume that Delhi Airport will be churning out a profit?

Saurabh Chawla : Yes, Karthik. You can reasonably assume that. GRK, please go ahead.

Karthik Chellappa : Okay, excellent.

GRK Babu : Yes, sir. I think in the first quarter, the tariffs have been implemented only from 16th April onwards. That too, only for the tickets sold from 16th, only we have got the revised tariffs. So, as Saurabh has rightly pointed out, in the second quarter, we can reasonably assume that we should be making a green or profit in the second quarter.

Karthik Chellappa : Okay, excellent. My second question, sir, is if I were to look at Hyderabad Airport, I mean this quarter, the non-aero revenues grew more or less in line with the passenger traffic, which means the non-aero revenue per pax was very, very soft. And this is a trend which we have seen, in the last few quarters as well. What do you think is the hindrance to actually getting a non-aero revenue per pax growth? I think we were targeting at least about 5% to 6% in the past, but this seems to be softer than that.

Saurabh Chawla : Rajesh, please go ahead.

Rajesh Arora : So, see when you look at the non-aero revenues, it has got two components. One is the non-aero commercial revenue and then there are certain fixed revenues in nature. So, non-aero commercial revenues have grown by almost 23% as against a pax growth of 17%, which means the SPP growth is about 6%. So, when you combine the rentals and other things which are in the fixed nature, that is where it looks like that these have not grown in line with the traffic growth or maybe only in line with the traffic growth.

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Amit Jain : Also, you have to look at the mix of the growth. There is more growth on the domestic side. When we look at the weighted average growth of 17%, that domestic growth is about 19%, whereas the international is slightly lower. This mix also plays a role in the SPP growth, which should reverse as we move forward.

Karthik Chellappa : Okay. So, the way I should understand it is, just keeping aside the domestic versus international, if I look at non-aero, the non-commercial revenues grew faster than the commercial this quarter. So, that is why on a blended basis, the per pax growth seems to be a bit low. Is that how I should understand it?

Rajesh Arora : No, no. It is the other way. Like I was clarifying, the non-aero commercial revenues have grown at about 23% as against a PAT growth of 17%, okay. Then there are certain rentals, those are in the fixed nature. Those will go at the rate of 4% to 5% or 7% kind of thing. So, that's when you take a mix of these two, overall non-aero revenue will look like they are at par with the traffic growth, but if you segregate the commercial revenues, which are directly linked to pax, is what has grown at a pace faster than the traffic growth.

Saurabh Chawla : In a nutshell, the spend by the passengers are significantly higher from a passenger throughput perspective. Yes.

Karthik Chellappa : Excellent. My last question, sir, is if I were to look at our cash and cash equivalents, fourth quarter of last year, we were at about INR38 billion, and now today at about INR34. So, I presume there has been, I mean, the free cash flow generation hasn't been there yet. So, with the expectation of Delhi Airport turning a profit next quarter and Hyderabad growing at t

he rate that it is, and with most of the capex already done, can we expect that this year, we should be able to generate free cash flow at a consolidated level?

Saurabh Chawla : So, I mean, we still have to complete our investment in capex for the Bhogapuram Airport. And also, there is a possibility, high degree of possibility of us taking over Nagpur. I think we need to put that into play. But for our existing assets that we have right now, your outlook is correct.

Karthik Chellappa : Excellent. Okay, that's all from my side. Wish you and the team all the very best for the remainder of the year, sir. Thank you.

Saurabh Chawla : Thank you, Karthik.

Moderator : Thank you. The next question comes from the line of Kaseedit from Citigroup. Please go ahead.

Kaseedit : Hi. Congratulations, management. Just two questions from me, and apology for my newness to the market. Number one on Delhi potential under-recoupment, right? What I'm seeing now is the RAB size of Delhi Airport is about INR140 billion, right? What would be the amount of the under-recoupment that can be recognized either immediately or in the next RP period? That's question number one.

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And question number two, please help me understand what's the upside from taking back duty-free operation at Delhi and Hyderabad? How could you make it better and drive spending, for example, and profitability? Thank you very much.

Saurabh Chawla : So, I'll allow Rajesh to first answer on the duty-free side of it, and then GRK Babu, you can pick up on the RAB.

Rajesh Arora : Yes. So, see on the duty-free side, as I mentioned in one of the earlier questions which were asked, as we are now getting into a platform play with consolidation of Delhi, Hyderabad, Kannur, and Bhogapuram and Goa, we will -- this will also bring in the good amount of efficiency in our procurement processes, which will be further adding to the overall profitability and value creation in our duty-free business. That's one. Secondly, even in terms of certain marketing and sales activities being driven through a platform now, should also add to the overall value. So, these are the two clear, clear advantages which will start coming in from the next quarter onwards as we consolidate these businesses under one umbrella.

GRK Babu : Regarding the DIAL, if I understand your question, the additional RAB which has gone into the tariff determination, that is what you are asking for?

Kaseedit : That is correct. My understanding with the court case dispute is that Delhi and Mumbai had potentially under-recouped your investment since, let's say, about a decade ago, right? I'm trying to estimate what will be the potential upside to the RAB size that can be added back. Thank you.

GRK Babu : No, this is based on the TD SAT judgment that you are referring to?

Saurabh Chawla : Yes. GRK Babu, that's what he's referring.

GRK Babu : As far as the TD SAT judgment is concerned, of course, the, originally the HRAB has already been added to our RAB by the regulator, which has now been revised by the TD SAT saying that that is not the right amount. So, they have asked us to re-compute by the regulator and then add back to the RAB. So, that working has to be done by the regulator over a period of next 12 weeks and then they will have to do it and also they have a right to appeal to the Supreme Court. So, we are still waiting for the final numbers to be computed by the regulator.

Kaseedit : Any guidance of what will be the RAB size that you can add on top? Thank you.

GRK Babu : It will be very difficult to say the numbers because it is both airports different and the existing they

have added was originally about INR470 crores rupees was there in first control period they've added for HRAB. It should go up substantially. That is what our guess.

Kaseedit : Got it. That's very clear. Thank you. Just last questions on duty -free, right? I just I

looked through the

available resources and if my understanding is correct, the duty -free operation at Delhi previously, the company has been bought by Adani. Is that correct? And by taking back the operation, that

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should help bringing back the in-house customer database, for example, to be kept within GMR.

Would that be a fair comment? Thank you.

Rajesh Arora : No. So, first of all, the existing concession was not being run by Adani or was bought by Adani. It was a concession which was being run by a joint venture consisting of Aer Rianta, Delhi Airport and GMR Airports. That concession came to an end on 27th of July. That's where GMR Airports got this concession through a competitive bidding and have started operating it as a wholly owned business of GMR Airports.

Kaseedit : Got it. That's very clear. Thank you.

Saurabh Chawla : Kaseedit, I just want to come back on the HRAB issue. All I can say is that the option value has just got crystallized. I don't want to put out my number because that will be shooting myself in my own feet, right? Let the regulator come out with a number and then we'll see how it works out from there.

Kaseedit : Okay. All the best looking forward. Thank you.

Saurabh Chawla : Thank you so much.

Moderator : Thank you. The next question comes from the line of Nirav Shah from GeeCee Holdings. Please go ahead.

Nirav Shah : Yes. So, just one follow up. Sir, in DIAL financials, Delhi Airport financials, if I look at our incremental revenues on a sequential basis, it is somewhere around INR140 crores. This is post-revenue share excluding other income. And if I look at the incremental operating profit, again, with out other income, it's around INR160 crores. So, our incremental EBITDA is actually around 110% of our incremental revenues, though I believe that we benefited from implementation of CP4. Any particular reason you would like to share some clarity on this?

Saurabh Chawla : Amit, why don't you answer this, please?

Amit Jain: Nirav, if you look at your delta between the thing, you have to also look at the expenditure. There is a reduction in the expenditure which is there between Q4 and Q1 this year. So, if you adjust for that, the numbers will make more logical sense. So, it's not only revenue which you have to look at, you have to look at the expenditure.

Nirav Shah : So, once you take the full benefit of that additional 15 to 30 days of YPP in Q2, you will get a normalized margin which should be upwards of this. So, that's a sustainable number.

Amit Jain: Yes. Yes. Perfect.

Nirav Shah : Got it, sir. Great. Thanks. That's from my side.

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Moderator : Thank you. The next question comes from the line of Nidhi Shah from ICICI Securities. Please go ahead.

Nidhi Shah : Yes. Thank you for taking my question. So, my first question is, why does the CPD revenue decline Q-o-Q for Delhi Airport this quarter?

Saurabh Chawla : Go ahead, GRK Babu.

GRK Babu : See, last quarter, we have booked the IND AS lease accounting which has been done for one of the assets which has now come under operation and which was almost about INR180 crores that had been accounted for in the last quarter for the entire period of about 1.5 year. Whereas, this quarter, it is only for one quarter impact – hence, between the last quarter and this quarter it's a bit down.

Nidhi Shah : So, my second question would be, is there any advantage to the Delhi duty -free moving to GAL? And or is it that we are just consolidating assets?

Saurabh Chawla : Yes, please Rajesh.

Rajesh Arora : Yes. So, Delhi duty -free earlier was more like about 67% held by GMR. 33% was with the joint venture partner. Now, it becomes 100% owned by GMR Airports. So, naturally, the 33% to the portion which was earlier going to a joint venture partner will fully flow to GMR.

Nidhi Shah : All right. Some questions on the Delhi duty -free. So, basic

ally, now that we have seen that traffic at

Delhi airport is growing moderately, where are we expecting the growth in Delhi duty -free revenues and EBITDA to come from? That's the first thing on Delhi duty -free. The second thing is that currently, what is the rent that Delhi duty -free is paying to DIAL under the new concession?

Rajesh Arora : Yes. So, let me first take up the first point on the traffic. The traffic during this quarter, as all of us know, there has been geopolitical issues in the first quarter of this year. So, that has impacted the

traffic and more so the international traffic during this period. And with the geopolitical issues getting resolved, we expect the traffic growth to come back. That's point number one. And accordingly, and with the international traffic directly linked to that, so duty -free, the sales and growth of that will get aligned to the growth in the traffic. That's on the duty -free, how that duty -free revenue and growth will look like as we go al ong.

The rentals, which we call it as a concession fee, in the current concession, vs the new concession, there is no significant increase. It's more or less in the range of what it used to be in the old concession. So, the percentage number is commercially sensitive in nature. So, I'm not sharing that with you, but in terms of the rentals, it is more or less the same what it used to be earlier.

Nidhi Shah : Lastly, on DIAL, we're seeing an exceptional amount of about INR90 crores. So, what is that exactly?

Saurabh Chawla : Yes. Okay. Go ahead GRK Babu.

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GRK Babu : It consists of two components. Basically, number one is the daily duty -free has bought back the 25% of its equity. So, basing on that, the DIAL has also surrendered its 25% stake in the, I mean, in the Delhi duty -free, and they have got a capital gain of about INR53 crores, which is an exceptional item. Number two, earlier, they have made a provision for one of our joint ventures, Bajoli Holi, and now it is no more required. So, to the extent of about INR37 crores to INR38 crores has been reversed. Both put together is about INR91 crores is the exceptional item.

Nidhi Shah : All right. Thank you so much. Those were my questions.

Moderator : Thank you. Ladies and gentlemen, we'll take this as the last question for today. I would now like to hand the conference over to the management for closing comments.

Saurabh Chawla : Thank you. Thank you, everybody, for joining this call. And the teams are, of course, available offline or through email to answer any of your queries and further details. Appreciate your participation today. Thank you so much.

Moderator : Thank you. On behalf of GMR Airports Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Note: Transcript has been edited to improve readability

Call: Nov 2025

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GMR Airports Limited
(formerly known as GMR Airports Infrastructure Ltd)
Q2FY2026 Investor / Analyst
Conference Call Transcript
November 14, 2025

Moderator: Ladies and gentlemen, good morning and welcome to the GMR Airports Limited, formerly known as GMR Airports Infrastructure Limited conference call, to discuss the Q2 FY26 results. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

We have with us today Mr. Saurabh Chawla, Executive Director, Finance and Strategy. Before we begin, I would like to state that some of the statements made in today's discussion may be forward-looking in nature and may involve risk and uncertainties. Also, recording or transcribing of this call without prior permission of the management is strictly prohibited. I now hand the conference over to Mr. Saurabh Chawla for the opening remarks. Thank you and over to you, sir.

Saurabh Chawla: Thank you and good morning, everyone. I welcome our shareholders, analysts and other stakeholders to our Q2 FY26 earnings call. The fundamentals of air travel remain strong and intact. India continues to rise as a global aviation powerhouse, now the world's 5th largest aviation market. The Mumbai-Delhi corridor ranked 7th amongst the top 10 busiest routes globally in 2024 and the international carriers are doubling down on India's potential. Emirates, Etihad, Malaysian Airlines all report robust demand for premium travel to and from India. IndiGo's expansion into long-haul and business class segments further signals confidence in sustained growth. Outbound tourism is booming. Between January and May 2025, Indians traveling to Japan surged 40% year-on-year. Australia also welcomed 10% more visitors from India for the year ended May 2025, making India 3rd largest inbound tourism market for Australia. Direct flights have been introduced from Hyderabad to Australia, cutting travel time significantly and the momentum is only building. As per a report released by Research and Markets, India's outbound tourism market is forecasted to grow at CAGR of 12.3% from 2025 until 2033. Starting Oct '26, IndiGo will launch daily flights to London and introduce Business Class on key regional routes. Their recent order of 30 additional Airbus 350s doubling their wide-body fleet underscores the long-term optimism in Indian aviation.

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I do acknowledge the geopolitical and operational challenges that have shaped the first half of FY26 for us. From regional tensions to isolated incidents, these disruptions have tested the resilience of travel ecosystem, yet what we have witnessed is not demand slowdown but a temporary pause. As we enter Quarter 3, historically the strongest quarter for travel and tourism, we remain confident in the sector's trajectory. The data speaks for itself. Demand is not just returning, it is evolving, expanding and elevating.

On that note, let me now delve into our Q2 performance. Momentum in total income continued with Q2 at INR37.5 billion, up 45% year-on-year driven by revised tariffs at Delhi airport which has been effective from mid-April, takeover of Delhi duty-free and cargo businesses by GMR Airports and sustained growth at Hyderabad airport translating to EBITDA growth of 59% year-on-year to INR15.3 billion. EBITDA margin for the quarter improved to 53% in Q2, despite a forex loss hit (which is notional hit) of about 0.6 billion in Q2 as Euro/INR rate reached INR104 in September from INR100 in June which led to the non-cash mark-to-market impact on our P&L statement. As I've been highlighting, this is a notional loss as the FCCB strike price is INR43.50 and no holder will ask for redemption given the instrument is deep into money given the current stock price. Hence, logically, it should be treated as equity and not debt. Due to the accounting standards, we still recognize it as debt in our books. It may also be noted that once these FCCBs convert into equity, all these provisions will be written back as one-time profits. This aspect must be taken into account for financial performance.

GMR Airports reported a profit from continuing operations for the quarter of INR351 million versus a loss of INR4.3 billion in Q2 FY25. But for the FX hit, GMR Airports would have reported a PAT which would have been higher.

Consolidated net debt excluding the FCCBs of INR27.3 billion which are deep into money stood at INR34.0 billion, increasing by INR1.2 billion versus Q1 FY26. GMR Airports had raised INR59 billion in the form of non-convertible bonds and used the proceeds to repay existing debt of INR50 billion along with a redemption premium of INR8.5 billion. GAL also raised INR3 billion in working capital loans for the purpose of duty-free operations that it started operating in the quarter. Net debt at

Bhogapuram increased by INR3.1 billion while at Delhi Airport reduced by INR2.8 billion. On the operational front, traffic at GMR Airport's operated airports fell 3.5% year-on-year in Q2, reaching 27.8 million passengers and this excludes Cebu. This was due to temporary disruptions in flight operations caused by changed airspace conditions amid geopolitical events and runway 10/28 upgradation at Delhi Airport. Now that the runway is fully operational, our upgraded terminal 2 at Delhi has resumed also full operations just in time for the seasonally strong quarter as well as the resumption of many routes for the winter schedule, we should see a pick-up in traffic moving ahead. Total income at Delhi airport rose 34% year-on-year at INR18.5 billion. While growth in non-aero and CPD income was healthy, the primary driver of sharp increase in total income was the aero revenues which rose 166% year-on-year driven by the implementation of revised tariffs. As a result,

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quarterly EBITDA reported was the highest in 4 years, increasing 69% year-on-year to INR6.7 billion. With this, the airport has reported profit of INR736 million for Q2. Even excluding exceptional gains, the PAT for the quarter remains positive.

At Hyderabad, total income was INR6.7 billion up 17% year-on-year. Non-aero revenues were particularly strong up 38% year-on-year. EBITDA was up 17% year-on-year to INR4.3 billion. This was the highest quarterly

EBITDA on record for the airport and the airport has continued to be PAT positive.

Mopa or Goa Airport reported a total income of INR836 million down 15% year-on-year as aero revenues declined 27% impacted by introduction of specific incentive programs to attract airlines to Goa. However, the non-aero revenue saw a 20% year-on-year growth. The airport continues to report positive EBITDA with Q2 FY26 at INR121 million despite the impact of revenue share.

The notable achievements during the quarter are:

Non-aero revenue at all our airports was strong in the quarter combined with non-aero revenues at Delhi, Hyderabad and Goa Airports rose 13% year-on-year in Q2. Duty-free SPP at Delhi increased to INR1,046 in H1FY 26 from INR1,005 in H1FY 25. While at Hyderabad, SPP was INR777 in H1FY 26 up from INR733 in H1FY 25.

In September, the TDSAT or Telecom Disputes Settlement and Appellate Tribunal adjudicated in favour of Mopa Airport by quashing and setting aside various appeal matters from the control period one tariff order issued by AERA. TDSAT has given requisite directions to AERA for different issues as stated in the judgment.

Coming to the refinancing activities during the quarter, as stated earlier, GMR Airports raised INR59 billion in the form of non-convertible bonds and used the proceeds to refinance the existing debt. The non-convertible bonds were raised in two tranches of 18 months and 36 months maturity at an effective cost of 10.225% to 10.425%. This resulted in a saving of 300 basis points. At Delhi, INR10 billion was raised in the form of 15-year non-convertible debentures at a coupon rate of 8.75% and used the proceeds to refinance debt bearing 9.98% coupon rate, a saving of 125 basis points. The next refinancing we are looking at is for Hyderabad airport 2026 foreign currency bonds where the Board has given approval for issuing INR denominated NCDs aggregating up to INR21.5 billion. Progress on developing the airport adjacency businesses is gathering pace. We are steadfast in our long-term strategy of converting GMR Airports into a consumer business with the underpinnings of a utility company. After taking over Delhi duty-free concession on 28th July, GMR Airports also took over the operations of duty-free at Hyderabad airport and started operations from 10th September. GMR airports' financials have already started reflecting the upsides from the above transactions and the full quarter impact will be seen in Q3. GMR airports also received a letter of intent to award from Delhi Airport to finance, design, develop, construct, operate, manage and maintain the cargo

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city at Delhi Airport. The initial concession period is up to 2036 and extendable by another 30 years parallel to the airport concession. The concession is based on revenue share to airport and the minimum guarantee totalling up to 2036 is INR4.2 billion. The cargo city would be spread across 50.5 acres of land which is not part of the commercial land of 232 acres. So, I want to just distinguish the land parcel aspect of it.

Construction on multiple airport land development projects is underway at all airports, details of which are available in the results presentation. At Hyderabad, the build-to-suit MRO facility for Safran has achieved physical completion and is expected to be handed over shortly. Total build-up area of this facility is about half a million square feet.

Work on new airport construction is steadily progressing. At Bhogapuram, 87.5% of physical progress has been achieved as of September '25, while at Crete, 60% progress has been achieved. GMR operated airports continue to set new benchmarks globally, earning prestigious accolades that reflect our relentless pursuit of excellence and innovation. These milestones underscore our commitment to deliver world-class infrastructure and enhance long-term shareholder value. As a

responsibl

e airport operator, GMR Airports is deeply committed to environmental, social and governance principles. From pioneering sustainable infrastructure and reducing carbon emissions to fostering inclusive growth and upholding the highest standards of governance, ESG is embedded in our strategy and operations. We believe this commitment not only drives long-term value creation but also aligns us with the expectations of global stakeholders and future ready aviation. We invite you to explore our detailed ESG progress and initiatives outlined in the investor presentation.

The presentation with all financial numbers is already available with you. If not, you can download it from our IR section of our website. We are available to respond to your questions on this call and offline after the call. Now, I would like to open the forum for queries that will be addressed by my colleagues from the corporate and the business teams. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Good morning and congratulations on a very good quarter. My first question is on the GMR Airport standalone business revenues. There has been a sharp increase in the standalone revenues. Are some of the non-aero businesses being carried out by GAL standalone directly? Can you please help with the details?

Saurabh Chawla: Yes, Mohit. I mean, you would have been following our last conference calls. We have always advised that we have created this GAL platform at the listed entity to get into non-aero business. And recently, it started operations on Delhi duty-free as well as cargo. Hyderabad duty-free has also

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moved to GMR Airports. On specific numbers, I will ask Rajesh Arora to give you a full insight into it and explain how the transitions have come from the airport to GMR Airport level. Rajesh.

Rajesh Arora: Yes, thanks, Saurabh. So, Mohit, I think as you would have noticed in the last two and a half, three years, we have been in the process of sourcing non-aero businesses to be done as part of GMR Airports. And the result of that is now started reflecting in our financials as we have started operating these businesses. As Saurabh just mentioned, Delhi duty-free from 27th of July midnight, Hyderabad duty-free in September 2025, Cargo, we took over in May. And likewise, Carpark, F&B, part of retail business. So, these are the businesses as independent business platforms, which we are now carrying out as part of GMR Airport. And that's what is also reflecting in our revenues.

Mohit Kumar: Sir, one clarification. You said Delhi duty-free, Cargo these are being carried out directly by GMR Airports standalone business. Is that right? Are there anything else which is being carried out by GMR standalone? Hyderabad duty-free, right?

Rajesh Arora: Hyderabad duty-free, I mentioned. And we are also doing carpark business in Goa. We are also doing duty-free business in Goa. So, currently, there are five non-aero business platforms, which are part of GMR Airports. And the main ones are Delhi duty-free in terms of the quantum of revenues, Hyderabad duty-free, Delhi Cargo, and some of the other businesses at Goa.

Mohit Kumar: Understood. My second question is, can you please explain the slide number 10, where you're talking about the real estate? I especially am talking about Delhi Airport. So, the slide says, there is a safe development project of 1 million square feet built-up area. Then there is a built-to-suit luxury hotel with 0.6 million square feet. The third one, which said other third-party projects with 12 million square feet. What does this mean? A 12 million square feet seems to be a very high number. Just trying to figure out what is the base of this number.

Saurabh Chawla: GRK Babu, go ahead.

GRK Babu: Sir,

it is basically the other third-party projects with 12 million square feet built-up area. I think we are referring to the Bharti transaction as well as the other transactions which are happening.

Mohit Kumar: This is already monetized, right?

GRK Babu: Yes, they are all monetized. The second tranche of the Bharti is yet to be monetized. The first tranche is already monetized.

Saurabh Chawla: Just to distinguish what is highlighted under Dial on This Page, the first two bullets are our strategy to now get into self-development. The third bullet is the legacy one where the monetization of the land had happened a few years back and they are building out various commercial office and retail projects at Delhi airport. So, just to distinguish between the three bullets.

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Mohit Kumar: So, the only clarification I am looking at, I think if I understood correctly, the first point of the self-development, you are still looking to monetize, you will develop and lease out, right? Second one, I think still the revenues will come to GAL where ever this luxury hotel starts operating. The third one, I am just trying to figure out whether there is any revenue potential which is still to accrue to GMR Airport.

Saurabh Chawla: Go ahead, GRK Babu.

GRK Babu: So, basically that 12 million is the leased out by DIAL only. It will not accrue to GMR Airports Limited. It is only to DIAL. The self-development is also done by DIAL and built-to-suite luxury hotel is also done by DIAL. The third one which is the 12 million square foot is given to the third parties who will develop themselves.

Mohit Kumar: Sir, I will take it offline. I will speak to Amit, post the call. My third question is, can you talk about the Hyderabad next phase of expansion? If I am not wrong, I think there is a proposal to expand and to spend around INR14,000 crores. Just talk about the size and the quantum and the timelines.

GRK Babu: Saurabh, shall I take up?

Saurabh Chawla: Yes, GRK Babu please take it.

GRK Babu: Yes. The Hyderabad airport has already touched last year 29 million. This year, we are expecting about 33 million, close to full capacity. So, we are proposing for an expansion with INR14,000 crore.

So, there is a proposal which basically consists of going for a new terminal on the northern side along with the runway and cross taxiways and also other infrastructure facilities. So, the proposal is now there and we have also included in our tariff determination process. In all probability, the master planning is going on and we are expecting that it should kick on in the CY 2027.

Mohit Kumar: Understood, sir. Thank you and best of luck.

Saurabh Chawla: So, Mohit, what GRK Garu commented is on, basically the approval process will be in the place, but the development process will begin subsequently. So, just to highlight that aspect. Hyderabad airport is already now peaking. So, the existing capacities will get fully exploited by the current traffic growth which is there. So, just to qualify that statement.

Mohit Kumar: Thank you, sir. Thank you.

Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: Yes, good morning, everyone. Congrats for great results. I have a few questions. Firstly, can you discuss the master plan being talked about for Delhi airport? It was covered in media, I think, a couple of days back. And what kind of capex are we looking for those projects?

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GRK Babu: So, I think the master planning we have been talking about is the Hyderabad airport. Delhi master plan is already completed in 2016. Again, for 2026, the preparations are getting now done. As of today the master planning exercise is just getting started, it will take about one to one and a half year. So, as you know that we prepare the master plan for Delhi once in 10 years. So, we started in

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2006, then 2016 and now in 2026. So, it will come out very clearly, since we have already touched 100 million, what is the additional requirement will come up only in the master planning. As of today, we can't say anything else. The exercise is just kicking off, that's all.

Saurabh Chawla: So, Prateek, just to add to what GRK Babu said, is that it is more from a design and efficiency perspective. We are today at about 100-105 million. What additional that needs to be done purely from the terminal development side. As you are fully aware, the airside, all the capex has been completed for the full tenure of this concession. And hence, we can't expand any more runways or cross taxiways that had been already taken in the previous expansion. It is only the efficiency aspect of the terminals. What can we do on capturing the high yielding international traffic? That is where the focus is from a design and understanding perspective. Just want to highlight over here that, for example, in terminal three, we are converting one pier from domestic to international as that traffic grows more robustly. So, those aspects are something which is an ongoing process of evaluation of the master plan. There is no significant capex or specific capex that is planned at Delhi airport, at least in the fourth control period. Just want to highlight that.

Prateek Kumar: Sure. And can you discuss like overall capex of the company? In first half, we have done INR1,800 crores capex at the overall consol level. What kind of capex we should pencil for FY26 and FY27?

Saurabh Chawla: So, honestly we don't give any specific guidance on capex outlook, but all I can tell you is that there is no major capex happening in the whole group, other than the two projects which are live, which is one is Bhogapuram, where we continue to draw down debt to complete the Bhogapuram airport. As you would have seen the presentation, more than 80% of the physical infrastructure at Bhogapuram is already complete and it should go live over the next 9 to 12 months. Other than that big capex, the other capex which is happening is at Crete where we have a minority share and there is no further contribution of our investment into Crete. So, that will get completed over the next two years. But other than these two, there is nothing which is currently envisaged in our capex program for the whole group.

Prateek Kumar: Okay. Among other questions, like is there an update on HRAB which like AERA was supposed to divert by September end and it is November now?

GRK Babu: AERA has appealed to the Supreme Court on this matter. So, the Supreme Court has admitted the case and we have also confirmed to the Supreme Court that we will not press for the immediate implementation within one month and we wanted the Supreme Court to clear the case as early as possible. The case is now posted, I think in December for hearing.

Prateek Kumar: And lastly, like a few bookkeeping questions. We have like seen reduced depreciation and there was some impact of interest because of early refinance. What is the new run rate for interest in depreciation we should expect from third quarter?

GRK Babu : The depreciation has come down mainly because of the accounting treatment going by accounting standards. So, on an average, the depreciation will come down on the existing assets by about INR150 crores yearly . That means every quarter maybe around INR35 to INR38 crores. As far as interest is concerned, now the current interest whatever we have shown in this quarter will slightly go down further because the full impact of the reduced interest rates will come to the next quarter onwards. So, the interest amount should come down by some amount from the next quarter onwards.

Saurabh Chawla: So, just to also highlight here on depreciation that we have aligned our depreciation policy with other airports. So, previously it was for

a limited period. Now it is for the full concession period as such. And hence, in that alignment, this change has happened and this has, of course, given some benefit. But it is now in full alignment with other major airports as to how they depreciate their assets for the full concession.

Prateek Kumar: Sure. Thank you. I will get back to queue.

Moderator: Thank you. The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia: Thank you all for the opportunity and congratulations on a very strong set of results. Just wanted to understand the non -aero business better. It seems Delhi and Hyderabad have seen meaningful improvements on a Y -o-Y basis, on a Per Pax non -aero spending basis. I think Delhi is up like high teens and Hyderabad is up like 25 -ish% or so. Could you give us a sense that these are kind of sustainable absolute per pax numbers or are they being impacted by mix changes wherein curtailment of capacity and higher international mix are having an impact? I am just trying to kind of see whether these are sustainable numbers because these look fairly high for the second quarter.

Saurabh Chawla: Yes, I will leave that question to be answered by Rajesh.

Rajesh Arora: Yes, sure, Saurabh. So, Aditya, when we talk about non -aero revenue growth, I think for us the target we generally take is about in the range of 14% to 15% kind of growth, which is a combination of spend growth as well as the traffic growth. That is a threshold we generally take depending upon how the traffic will move. The numbers what you are seeing, yes, in this quarter the growth is significantly higher than these defined benchmarks. It's a combination of what has happened, as you would have seen, T1 became fully operational in this quarter, with all the outlets opening up there. Similarly, Hyderabad, some of the outlets and stores were under final opening. So those got open. So it is a combination of the full impact of all the non -aeronautical areas which we have developed in the last couple of years. Plus, in terms of spend per pax, yes, we have also seen good

growth in both Delhi and Hyderabad in duty -free, which is about 7% to 8% spend growth in Delhi and about 11% upward of growth in Hyderabad duty -free. For us, 15% growth year -on-year in the non-aero revenue is something which we will always keep as a minimum target for us to grow.

Anything more than about that could be a combination of additional stores, additional improvement in some margins and all that.

Aditya Mongia: So, the current levels are sustainable and 14% -15% growth can then be sustained on the current levels is what you are saying. There is no one -off mixed impact in side numbers, I would want to believe.

Rajesh Arora: Yes.

Aditya Mongia: That clarifies. The second thing is that while it may be a little premature to discuss, but this 50 -odd acres of cargo city land, what all usage can it be exposed to in Delhi? Can this be a material value - creative exercise for the company? And on what period of time does it happen? Side question, should we be even thinking of this given that Celebi is trying to get back?

Rajesh Arora: Saurabh, shall I take this?

Saurabh Chawla: Before Rajesh answers this, to again re -clarify that this cargo city land is not to be confused by the commercial land development that is happening. Those are two very different parcels. One is an aero and the other one is the ALD land. So, Rajesh, please, you can give more insights into this aspect.

Rajesh Arora: So, Aditya, this cargo city development is primarily towards Tier 2 and Tier 3 of the cargo infrastructure. There will be also a Tier 1 part of that will be there. So, we have a very robust cargo infrastructure for Tier 1 in the form of two cargo terminal operators. So, cargo city is going to be in addition to these two terminals and basically to cater to the

requirement of Tier 1, both the operators. So, in terms of usage, it will be warehousing. It will also be a processing zone. We have

also applied for SEZ, certain specified area as an SEZ within our overall airport land. So, it's going to be a combination of that 50.5 acres, but we have got the rights to develop. The first phase is about 30.5 acres, which we are developing and the timelines as per concession is about 24 to 30 months. We are looking at completing it much ahead of that.

Saurabh Chawla: Rajesh, please also highlight the value-additive aspect of this strategy as to how from a non-processing to a processing area in cargo, how it takes the rentals up so that everybody has a better understanding as to what is the quality of revenues and margins you get on this particular development. Just an indicative one.

Rajesh Arora: Yes. And just before that, Aditya, this cargo city has got nothing to do with this Celebi's cargo terminal operations. That will continue to be done. We took over that terminal on an interim basis and currently Delhi Airport is in the process of running the process. So, this will be in addition to the Celebi's cargo terminal operation. And coming to the cargo city, it will be both development and

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then leasing out these spaces to people like who are the freight forwarders, people who would want to come and set up their processing zone over here, again, which will be an impetus for growth for cargo, the Tier 1 cargo. And in terms of revenue, one could expect, I think we are expecting good healthy EBITDA margin on these developments and the lease rentals. It could be in excess of about 70% or so.

Aditya Mongia: As in, let's say, from an NPV perspective, it would give me some sense as in, obviously, the aero city land is worth, let's say, whatever, INR200 crores or so per acre. What could be the equivalent number over here as you think through? These are obviously different uses. I'm not trying to compare commercial versus industrial, but still, some sense would be useful for us to gauge how much value can be created from here.

Rajesh Arora: So, these are more on, I would say, on the lease model, Aditya, and the rentals, depending upon the location of the infrastructure, could be anything depending on anything between INR150 to INR250 -odd per square feet. But these are purely going to be on the lease model.

Aditya Mongia: Just the final part on this question, are these kind of subject to the same revenue sharing with the government? I'm assuming this is part of the Delhi airport concession, right, or how is it structured?

Rajesh Arora: Yes. So, it's a concession given by Delhi airport, and GMR airports have got it. And yes, it will be subject to the same revenue share to be shared with government on the revenues which Delhi airport will get as a concession fee from the concessionary, which is GMR airports here.

GRK Babu: Aditya, it's basically, Delhi (DIAL) wanted to develop the cargo city, which is a transfer land. You cannot compare with a commercial property land that is available for commercial development.

This is exclusively for only transfer property, which goes to the airport of India at the end of the concession period. So, this 50 acres of development, which they wanted to do to have the full-fledged facility of warehousing, extra cargo, office complexes within that land, they've gone for a tender and GAL has got it. So, this is basically, we built and we give the lease, we get the lease rentals and we will also pay a revenue share to DIAL on the lease rentals, which is as per the concession agreement. Then, DIAL will share the revenue share, basing on the amount which they get, on that they pay 46% to the Airport Authority of India. So, it is two steps down.

Aditya Mongia: How much do you give to DIAL, sir as a revenue as a percentage?

GRK Babu: There are two cities we are developing, cargo

city 1 and cargo city 2. Cargo city 1 is a new

development far away, that is only 12% is the revenue share and the cargo city 2 is just opposite to cargo terminals - there we will pay about 27% revenue share.

Aditya Mongia: Understood, sir. I'll move on to the remaining questions. There are two of those. Any sense on why Hyderabad, the traffic on the domestic side is kind of flattening out Y-o-Y and any sense of how to think about this? This is a very fast-growing airport in the past. So, just trying to get a better sense of what's changing over there?

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GRK Babu: Sir, if you look at the traffic at Hyderabad, year-on-year, there is a domestic growth. For half year at 11.29%, there is a growth. So, it is only quarter, naturally second quarter is lower compared to the first quarter and the third quarter again there is a good growth is already happening in case of Hyderabad. So, we are expecting overall, compared to last year, this year, there will be a growth around 10% to 12%.

Saurabh Chawla: So, Aditya, the Indian aviation did get impacted with the geopolitical issues and also the unfortunate Air India mishap. So, that was the softness in Q2. More impacted to Delhi, but also there has been some impact also in other airports, including Hyderabad. So, you need to take that into cognizance.

Aditya Mongia: Okay. Just sharing the final question, maybe final two questions from my side. One thing is a lot of questions come to us on the renewal aspect of Delhi Airport 30 plus 30. What are the conditions, precedent? Is it going to be a smooth affair or will there be changes to revenue share, so on so forth? Would be good to get your views so that we can communicate accordingly to investors as

well? Is it going to be a fairly stable affair, wherein you have the ASQ scores and you get the renewal? Or is there more to that post 30?

Saurabh Chawla: Just to highlight over here, the precedence is already there in Hyderabad Airport for everybody to see. Okay. It's a very smooth affair. There's a contract in place. And as long as we are maintaining our ASQ scores, the renewal is pretty much given. So, there are no specific renegotiations that can be opened as per the concession agreement, as per OMDA. So, I think you need to allay these concerns in the minds of the investors that there will be a fresh set of negotiations that will happen upon or just prior to the expiry of the first 30 years. I think that's the moot point over here I want to highlight.

GRK Babu : You are absolutely right, sir, because no strings are attached. It is an automatic extension by 30 years. We have to make an application at the end of the 25th year that our intention to have the next 30 years, that we will do it only 2031 post-May. And before that, there are no conditions attached. The only thing is that there should not be any event of default, and we never had event of default, and we will never have also. So, except that, there is no requirement. We have to make an application during 25th year. That will happen in 2031.

Aditya Mongia: Sir, could you give us a little bit more sense on this INR1800 crores capex number and let's say what it could be for next year in the absence of any incremental capex? This appears to be a little bit high for us to gauge. Maybe if you can give a sense of how much is maintenance and just trying to get a steady state number, assuming that Delhi and Hyderabad and Bhogapuram are all done. Like, will this still be a big part? Is it already a big part? Just trying to get a better sense of what is exactly the spending going to be next year?

GRK Babu : INR1,800 crores what you are referring, consisting of three components. Basically, the self-development capex is also involved, plus maintenance capex plus Bhogapuram. All are involved in that overall. And going forward, Bhogapuram still we have to spend about INR2,000 crores from

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today onwards. So, that will be affecting some amount in these next two quarters. And the balance will be in the next financial year. And as far as the self-development is concerned, in case of DIAL, we have almost done the work, and there will be a small amount we may have to spend it.

Operational capex is always incurred by DIAL and GHIAL, which could be in the range of INR500 crores to INR700 crores, both the airports together.

Saurabh Chawla: Yes, on a sustainable basis between the two airports, which is a large airport. So, anything between INR600 to INR700 crores, as GRK Babu has highlighted, would be the maintenance capex that will continue. What we will, of course, do going forward as those self-development projects increase in magnitude, we will also give that breakup, whilst the capex on Bhogapuram will start to come off as the project gets completed. I think that's the broad guidance we'd like to give.

Aditya Mongia: Understood. Thank you so much for entertaining all my questions.

Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: Yes, thanks for the opportunity again. I have a couple of clarifications. So, at Delhi airport, we are seeing like arithmetically some lower revenue share at like around 43%, 44% versus when it should be 46%. Any clarification there?

GRK Babu : Basically, the revenue share, you cannot simply compare 46% of the top line. There are certain exemptions, certain exclusions which are provided basically in the definition of the gross revenue. So, the payments made to relevant authorities, we have to exclude from the gross revenue for the purpose of payment of revenue share. For example, the power bills or the municipal taxes, all those things have to be excluded. So, we have done those exclusions and the balance revenue is only subject to revenue share.

Prateek Kumar: So, that should be a stable number going forward also. So, we should take this 43%-44% as a revenue share for future projections. Is that right?

GRK Babu : We cannot take the exactly 44% because, for example, last year, we paid more than INR60 crores as the municipal taxes pertain to the earlier year also. But going forward, will not be that much, but there will be some reduction. It will not be 46%, but it will be less than that.

Prateek Kumar: Another question on Goa's incentive program to attract airlines. So, clearly, this has impacted margins for the airport, maybe for near-term. But how far is this program expected to continue and, Yes, I mean, for the business and some outlook there?

Saurabh Chawla: At this stage, I think only an incentive plan for this current year. Because of geopolitical issues in Russia and Europe, there has been some decline in interest in Goa. In order to attract all those people back to our airport, that's a plan that was undertaken for this current fiscal year. I don't think you should impute it going forward. That's all I would like to say.

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Prateek Kumar: And last question on real estate development capex. Can you quantify like an annualized expected capex? Is it like INR500 crores, INR1,000 crores, or much more for modeling purpose?

Saurabh Chawla: Which airport? You're talking Delhi or Hyderabad ?

Prateek Kumar: Like total companies at consolidated level, total real estate development?

Saurabh Chawla: Aditya, if I put in INR500 crores as capex for real estate, we'll be talking huge numbers on the commercial real estate development, correct? So, very early in this stage, to give you a guidance on that. A business which is just starting on the self -development side, allow us another few quarters to come back on a sustainable basis what should be the run rate of construction capex on the commercial real estate at both the airports, probably even Goa, because Goa also has a significant amount of aerocity hotels to be developed over

there. So, I can't give you a full guidance on a number, but it's early stages on the self -development program for us at this particular point of time.

Prateek Kumar: But can you give like a number for FY26? We should be knowing that

Saurabh Chawla: We don't give guidance, you know that. We have only two projects, self -development projects which are currently live. So, it's not a big number right now, it's a small number.

Prateek Kumar: Yes, thank you. That was my question.

Moderator: Thank you. The next follow -up question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia: Okay, thanks. I think there's a couple of questions remaining from my side. Firstly, the aero yield or aero revenues per pax in Delhi appears to be on the higher side, much different from the INR350 number, which is the average that one has to be thinking through. Could you give us a sense of whether there are some one -offs inside, or is it purely to do with the international mix going up?

GRK Babu : Basically, as you know, that DIAL new tariffs have been implemented from 15th April 2025. So, this time what we did, and regulators also accepted, in case of parking charges, which used to be flat after 2.5 hours, we have now made it a multiplier. So, for 2 hours and up to 4 hours there is a particular rate, and beyond 4 hours up to 8 hours is double of it and beyond 8 hours it is 4x. So we wanted to dissuade the airlines not to park the aircraft for long because it will be creating congestion. As a result of that, the parking charges have substantially gone up and the revenues, because there are so many aircrafts which have been parked, now they are slowly, slowly taking out and they are doing much more faster turnaround. So, in the initial 3 to 6 months, they have now learned it. Going forward, that additional revenue we may not generate, but because of the parking charges, additional revenue has come and the yield per pax has gone up. However, as per the tariff determination, it is INR360 yield per pax, that will continue to be there. So, in the next quarter also, we may have a little more because of parking, maybe by fourth quarter onwards, we

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may come back to 360 or 365. So, this is basically because of the parking charges, which airlines are now understanding, they are now doing much faster turnaround of aircrafts.

Aditya Mongia: Understood. So, INR360 comes back again versus whatever numbers were there for this quarter, that is fine.

Saurabh Chawla: From your modelling perspective please maintain the same thing. These are little gyrations like GRK Garu has highlighted, not sustainable on a long -term basis.

Aditya Mongia: Understood. And shall I assume that the entire investment property amount that is coming in the first half, about INR500 crores is the Delhi real estate capex that you are classifying over there in the balance sheet?

GRK Babu : Which one? Sorry.

Aditya Mongia: There is this investment properties line item in the balance sheet saying INR550 crores for the first half, as in at the end of the first half. Is that linked to the real estate capex that you are doing in Delhi on the self -development properties?

GRK Babu : There is some amount of the self -development money is being involved in case of DIAL. There are two projects as Saurabh has explained. We have spent around INR250 crores to INR300 crore rupees. And as he rightly pointed out, it will not be that much amount going forward, because there are only two projects that are happening now.

Aditya Mongia: Sure. Those were my questions. Thank you so much for your response.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Saurabh Chawla for closing comments. Thank you and over to you, sir.

Saurabh Chawla: Thank you. And thank you, everybody, to join this call

for our quarter 2 results. We are available offline to answer any further questions that you may have or clarifications that you may seek and hope to see you soon. Thank you so much.

Moderator: Thank you very much, sir. On behalf of GMR Airports Limited, that concludes this conference. Thank you for joining us today and you may now disconnect your lines.

Note: Transcript has been edited to improve readability

Call: Feb 2026

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GMR Airports Limited
(formerly known as GMR Airports Infrastructure Ltd)
Q3FY2026 Investor / Analyst
Conference Call Transcript
February 14, 2026

Moderator: Ladies and gentlemen, good day and welcome to GMR Airports Limited Conference Call to discuss Q3 FY 2026 Results. As a reminder, all participants lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

We have with us today, Mr. Saurabh Chawla, Executive Director, Finance and Strategy. Before we begin, I would like to state that some of the statements made in this today's discussion may be forward-looking in nature and may involve risk and uncertainties. Also, recording or transcribing of this call without prior permission of the management is strictly prohibited. I now hand over the conference to Mr. Saurabh Chawla for opening remarks. Thank you and over to you, sir.

Saurabh Chawla: Thank you and good morning, everyone. I welcome our shareholders, analysts, and other stakeholders to our Q3FY26 earnings call. Before I move into our performance and outlook, I would like to place our results in the context of the broader global and domestic aviation environment. The year-to-date for the aviation sector has been a testing one with multiple events trying to disrupt the momentum seen in air travel. Yet, I am encouraged by the efforts taken by every stakeholder, especially the employees, and the resilience seen in the passenger traffic. Global demand remains resilient into 2026 despite supply bottlenecks and India remains one of aviation's strongest structural growth markets. IATA projects airlines will deliver about US\$41 billion of net profit in 2026 on record load factors of 83.8% while ACI World expects global passenger traffic to exceed 10.2 billion in 2026. Growth will be led by Asia Pacific where IATA projects traffic growth of 7.3% year-on-year and within Asia Pacific, China, India, and Vietnam will be the key growth markets. The supply side is looking to be even more encouraging for 2026. Boeing estimates that aircraft deliveries to its Indian customers including Air India Group and Akasa Air will average two planes a month in 2026. In fact, Akasa Air has resumed hiring pilots after an 18-month pause aiming to expand its fleet with upcoming Boeing deliveries. Similarly, this year, Air India has unveiled a brand new Boeing 787 aircraft and by the end of 2026, nearly 65% of the airline's wide-body fleet and over 50% of its international services will feature modern top-of-the-line cabins as per the Air India's

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Chief Commercial Officer. IndiGo also expects delivery of nine A321 XLRs in 2026 giving IndiGo the range to operate up to 8,700 kilometers opening long haul opportunities previously out of reach for single aisle aircraft. IndiGo aims to increase international capacity to 40% of its total capacity by FY30 from current 28%. Thai Airways is also deploying its latest Airbus 321 Neo aircraft to cities in India as part of its ambitious expansion plan. In a nutshell, 2026 demand is resilient and supply is normalizing. On that note, let me delve into our Q3FY26 performance which marked achievements of multiple milestones.

I'm happy to share that Hyderabad Airport has again declared an interim dividend of INR7.5 per share at the recently concluded board meeting. This translates into INR2.1 billion for GAL's 74% stake.

Momentum in total income continued with Q3FY26 at INR40.8 billion up 49% year-on-year. These results underline the strength of our core assets and the success of tariff revisions and the growing contribution of non-aeronautical and adjacency businesses. EBITDA grew 65% year-on-year to INR17.9 billion with EBITDA margins for the quarter improving to 55% in Q3FY26. EBITDA continues to break previous records achieving new highs each quarter. GAL reported a profit for the quarter of INR1.7 billion versus INR2 billion in Q3FY25. Importantly, reported PAT excluding the impact of exceptional items was INR3.6 billion for Q3FY26 versus INR2.1 billion loss in Q3 FY25. This was the first positive and highest profit seen since de-merger.

Consolidated net debt excluding FCCBs of INR27.7 billion which are deep in the money and shall convert into equity on its due date stood at INR34.5 billion increasing by INR5 billion versus Q2FY 26. Net debt at Bhogapuram increased by INR1.8 billion. Net debt at GMR Cargo Logistics Limited, the entity developing the Cargo City in Delhi increased by INR1.1 billion. GMR Logistics Parks Private Limited, Hyderabad Airport's wholly owned subsidiary also refinanced its existing debt resulting in increase of about INR1.5 billion in net debt. More importantly, despite debt slightly increasing, our interest cost for the quarter is lower versus Q2FY 26, a trend which we had been communicating as our ratings continue to improve which enables us to refinance debt at lower costs.

On the operational front, traffic at GAL operated airports rose 2.5% year -on-year in Q3FY26 reaching 31.9 million passengers and this excludes the Cebu airport in Philippines. This is the highest quarterly traffic handled on record despite the disruptions in early December. Delhi Airport handled record quarterly traffic of 20.8 million passengers reaffirming its position as India's primary global gateway and Mopa, the Goa Airport, also handled a record 1.5 million passengers for the quarter. Total income of Delhi Airport rose 41% year -on-year to INR20.2 billion. While growth in non -aero and CPD income was healthy, the primary driver of the sharp increase in total income was aero revenues which rose 173% year -on-year driven by the implementation of revised tariffs. As a result, quarterly EBITDA reported was the highest on record increasing 89% year -on-year to INR8.2 billion. With this, the airport has reported a profit of INR2.3 billion for Q3FY26 and even excluding exceptional gain, the PAT for the quarter remains positive. At Hyderabad, total income was INR6.6

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billion up 8% year -on-year. Non -aero revenues were particularly strong , up 24% year -on-year. EBITDA was up 11% year -on-year to INR4.3 billion. Quarterly EBITDA continues to be at near record highs for the airport and airport has also continued to be PAT positive. Mopa Airport reported a total income of INR1,061 million down 15% year -on-year. While aero revenues declined 16% year -on-year due to special initiative program to attract airlines, the impact of which is a

freely visible on

the traffic which rose 21.6% year -on-year and non -aero revenues which saw a 30% year -on-year growth. Also, do note that during Q3FY 25, CPD income saw a bump as airport signed deals for the hotel and as a result, CPD for Q3FY26 cannot be compared with the last year. The airport continues to report positive EBITDA with Q3FY26 at INR418 million.

Notable achievements during the quarter are combined aero Yield Per Pax or YPP in Q3FY26 was INR430 for Delhi, Hyderabad, and Mopa. And the non -aero income per pax was INR666. This includes all revenues from non -aero businesses adjusted for revenue share paid to airports as well as non -aero revenues reported by Delhi, Hyderabad, and Mopa airports.

Progress on scaling the airport adjacency business is gathering pace. We continue to execute on our long -term vision of evolving GAL into a scaled consumer platform anchored by the reliability and discipline of a utility business. GAL financials are now truly reflecting the upsides from the takeover of duty -free operations at Delhi and Hyderabad airports. In fact, at both these airports, duty -free achieved the highest monthly sales in Dec -25. Hyderabad duty -free operationalized a new departures store in Jan '26 with entire operationalization in next two to three months. This will significantly enhance the departure total store area from 350 square meters to 1,200 square meters. Moving to cargo, the Delhi Cargo Terminal handled the highest ever monthly cargo tonnage in December '25. On F&B, at Hyderabad, phase -wise openings of F&B outlets is ongoing and all major outlets are expected to open by Q4 or end of this quarter of FY26.

Coming to refinancing and fundraising activities during the quarter, Hyderabad Airport raised INR21 billion in the form of non -convertible debentures and used the proceeds to refinance an existing dollar denominated debt. The NCDs carry a coupon of 7.6% per annum and will lead to savings in interest cost of more than 150 basis points. Crisil ratings revised its outlook for Hyderabad Airport to positive from stable while reaffirming the rating at Crisil AA+. GMR Cargo and Logistics Limited, a wholly owned subsidiary of GAL availed rupee term loan facility of INR7.5 billion to enable it to meet a part of its estimated project cost towards developing the Cargo City in Delhi International Airport.

Construction of multiple airport land development projects is underway at all airports, details of which are available in the results presentation. At Hyderabad, the build -to-suit MRO facility of about half a million square feet for Safran was completed and inaugurated by the honourable Prime Minister Shri Narendra Modi.

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Work on new airport construction is steadily progressing. At Bhogapuram, 95.8% of physical progress has been achieved as of Dec25 and we aim to operationalize the airport in Q2FY27 , much ahead of our original target of Dec '26. At Crete, 65% progress has been achieved.

As a responsible airport operator, GAL is deeply committed to the environmental, social, and governance principles. GAL recently published its sustainability report for FY25 and is available to be downloaded from our website. The IR presentation contains key highlights of the report and we invite you to explore our detailed ESG progress and initiatives outlined in the report. Our initiatives are resulted in significant improvement in ESG ratings across S&P Corporate Sustainable Assessment or CSA, Sustainability's ESG risk ratings, and MSCI ESG ratings. GAL also became a member of the FTSE4Good Index Series. GMR operated airports and subsidiaries continue to set new benchmarks globally earning prestigious accolades that reflect our relentless pursuit of excellence and innovation. These milestones underscore our commitment to deliver world -class infrastructure and enhance long -term shareholder value.

In closing, Q3FY

26 represents another important milestone of GMR Airports' transformation into a global diversified future ready and profitable infrastructure platform. Our performance reflects the strength of our core assets, the success of our platform strategy, the dedication of our employees, and the trust of our stakeholders.

The presentation with all financial numbers are already available with you. If not, you can download it from the IR section of our website. We are available to respond to your questions on this call and offline after the call. Now I would like to open the forum to the queries that will be addressed by myself and my colleagues from the corporate and business teams. Thank you.

Moderator: The first question is from the line of Aditya Mongia from Kotak Securities, please proceed.

Aditya Mongia: Congratulations to Saurabh and the team for the last five years of goodness that have happened for GMR as results are going through very well. With that being said, a few questions from my side.

The first question was more linked to the uptick that is happening from a retail perspective and a non-aero perspective in Hyderabad? Just trying to gauge from you whether any new activities will keep on happening and if there is a case for this good growth rate on non-aero per pax further sustaining and seeing a further bump up into FY27. And a related question over here, in Delhi, how do you think through the prospects of any developments that could increase non-aero from the perspective of FY27?

Saurabh Chawla: Aditya, I'll ask my colleague Rajesh to answer your queries, he leads the business of non-aero in GMR. Rajesh?

Rajesh Arora: So, Aditya, no, I think your line was babbling in between but if I understood your question right, one was on the growth in Hyderabad non-aero and SPP, and the second was on how do we see this in Delhi? Okay. So let me first take up Hyderabad. See, as you know, we were in the process of

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expanding the Hyderabad terminal and that happened in the last year. The non-aero part of existing terminal was also undergoing a revamp. So now with the stores opening up, more area is available, like F&B, we've also talked about that. So with all that, what you see is the growth in the current quarter and the current nine months of period. So that has been the underlying reason for a good significant growth in non-aero in Hyderabad. Delhi, T1 was opened last year and even within T1 all the stores are now also becoming operational. Some of our stores underwent a re-concessioning so again the result of that will start seeing it in the coming quarters. For us as we have been communicating in the past, a more sustainable growth if we look at all our non-aero businesses to grow say in and around 15% a kind of thing which we are targeting. While there could be some uptick in between as and when the new area is opened but on a long-term basis this is more like 15% plus kind of growth.

Aditya Mongia: Understood. The second question that I had was more on just a clarification. Somewhere it seems like the revenue share implied for Delhi has seen a dip this quarter. Wanted to check whether there is something to read over here or this is just a one-off and will reverse over time?

Saurabh Chawla: So Aditya, GRK Babu will answer this question of yours.

GRK Babu: Hi Aditya, it's basically as you know in case of Delhi, we have certain exclusions which are to be done and during this quarter, we have done certain exclusions which are permitted under the OMDA that is the reason why the revenue share has come down. This is as per the OMDA provisions.

Saurabh Chawla: So Aditya from your modelling perspective you should assume what the headline number of revenue share is. There could be some slight ups and downs that may happen because of inclusions or exclusions under the OMDA but from purely from a modelling perspective you just c

ontinue with

the 46% headline number.

Aditya Mongia: Understood. And from the perspective of the balance sheet, uh, the debt numbers are slowly rising upwards with Bhogapuram, where it is in terms of completion. Should it be a fair assumption that net debt starts declining somewhere in FY27 and then the momentum of decline increases starting FY28?

Saurabh Chawla: You're absolutely correct, Aditya. Debt as I think in the last quarterly call also I said that during this fiscal year, debt will peak as Bhogapuram reaches its a finality from a construction perspective and in FY27 we will see, you know debt to start come off. It's important to also understand that non-aero as it grows will continue to decrease this net debt number over a period of time so momentum will surely come from there. From a concession perspective, our concession agreements allow, debt to continue because that allows us in our tariff determination and reduce the cost of capital so, but we are in a very good spot. You can see Hyderabad as AA+, Delhi I think in a very short period of time should go to AA+, GAL is something again we are watchful A+ to AA - I think that's the journey we should see over the next 12 to 18 months. From a pure strategy perspective the way we look at it in 2 years' time we would like our businesses to be all AAA. Okay. And we will have the debt where

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we get the rating of AAA, we get the least amount of debt cost on our books and the balance cash is something that gets up-streamed whether to GAL as or eventually as GAL starts to give dividend to its shareholders. That's a very simple strategy that we are following because bulk of the hard work is already behind us.

Aditya Mongia: One last final question I'll get back into the queue. On that last point, do you think of a certain net debt to EBITDA or interest coverage wherein dividend starts becoming a possibility for shareholders and any sense whether this is in FY28, FY29 timeframe or how do you think so? My last question.

Saurabh Chawla: So theoretically speaking Aditya, a number of a multiple of 3 to 3.5 is reasonable to look at. We are a capital-intensive business and there could be opportunities of new airports coming on board, but if in the current portfolio the way we look at it between 3 to 3.5 net debt multiple, the trigger to start upstreaming dividends will surely begin.

Aditya Mongia: Thank you so much. I'll get back in the queue. Thank you.

Moderator : Thank you, sir. The next question is from the line of Mohit Kumar from ICICI Securities, please proceed.

Mohit Kumar: Yeah, good morning sir and thanks for the opportunity and congratulations on a very good set of numbers. My first question is the traffic growth has been benign for last 9 months, right? Do you think traffic was impacted also due to supply side constraints and do we have some kind of number what is the aircraft stock right now and what is the addition you expect in the near term, if you have the data available, yeah.

Saurabh Chawla: Yeah, GRK Babu please.

GRK Babu: See, currently the traffic has been a little flattened due to the aircraft issue and also the Air India crash and all other issues. But it has started showing the good improvement from December onwards. So next year, we are expecting the total deliveries as per the discussion we had with the airlines - so Air India will be taking about almost 20 to 30 aircrafts and IndiGo will be about 30 to 40 aircrafts and Akasa also will get about 10 to 12 aircrafts. So there will be a net increase even after grounding of certain aircrafts maybe around 50 aircrafts in the next year. So that will certainly improve the traffic going forward and the signs of improvement has already come in the month of January, we have seen a substantial growth in the traffic.

Mohit Kumar: Understood. My second question is can you help us with the base number for Delhi duty-free so

that we can have a fair comparison of course the Delhi duty-free has done pretty well. The is there any one-off in this quarter in the duty-free?

Mohit Kumar: Two part question. One is I want the base number for Delhi duty-free for Q3 and 9 months and the second question is was there any one-off in the Delhi duty-free in this quarter, yeah.

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Rajesh Arora: Okay. Let me, so Mohit as you know, Delhi duty-free was earlier a joint venture and that's the structure it followed till 27th of July and effective 27th of July midnight, it has become part of GAL's direct business. In terms of its performance, it has been a steady 6% to 8% kind of growth what we have been seeing quarter-on-quarter. So there is no one-off kind of thing in the financial performance of duty-free.

Amit Jain : And also Mohit, on Slide Number 22 we have given all these details in our IR presentation, Slide Number 22.

Mohit Kumar: Yes, sir. I've seen that but is there a base number, that's what asking, is there any way to compare the revenue number for duty-free last year compared to this year? Is there any way? Do we have the number otherwise we'll take it later?

Amit Jain : No, like mentioned, because this duty-free is transitioned to the listed level recently hence the base number is not comparable, is not available in the presentation. But Mohit, that can be shared with you offline you know on a comparative basis.

Mohit Kumar: Understood. The third question sir, you've done a fabulous job on the interest cost and the debt. Do you think there is scope for further reduction in the interest rate and the interest cost should see some kind of moderation as we go forward?

Saurabh Chawla: Absolutely, Mohit. You will see over FY27 as many of the refinancing happen both at Delhi Airport and also at GAL, you will see reduction of interest rates as we go forward. That is a key focus of the finance team and we are very confident that these numbers will only come down.

Mohit Kumar: Understood, sir. Thank you and best of luck.

Moderator: Thank you. The next question is from the line of Nathan Gee from Bank of America, please proceed.

Nathan Gee: So thank you for the call. Maybe a two questions from me. Firstly, is there any update in terms of timing of real estate asset monetization, either Delhi or Hyderabad, so that's the first question?

Second question's on regulations, any update either in terms of the HRAB decision from courts?

Thank you.

Saurabh Chawla: Yeah, okay. No, at this stage, these projects are still under development and at least for the next 12 to 18 months, we are not looking at any monetization of these self-development projects. As you are aware, you get the best value when the rents have actually stabilized, so that will be more of a

phenomena maybe 18 to 24 months down the road. On HRAB, I think GRK Babu why don't you give a quick update.

GRK Babu: The HRAB as you know, that the matter is pending before the Supreme Court. The hearings are going on and the next date of hearing is in the month of February. So we are just waiting for the outcome from the Supreme Court.

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Nathan Gee: Thank you, thank you very much.

Moderator : Thank you. The next question is from the line of Karthik from Indus Capital Advisors Limited, please proceed.

Karthik: Yeah, thank you for the opportunity. Hope I'm audible. Congrats on the quarter. I have two questions. The first one is I know you don't give guidance but I just want to get a sense of how you're thinking about this. Let's say this quarter, our exit EBITDA's somewhere around INR18 billion? So given that barring the IndiGo disruption, most of the metrics were in a steady state, is it reasonable to infer that this 18 billion can be some sort of a base EBITDA for us on a quarterly basis and we should be able to grow on this as a base EBITDA and related to that, to your comment that interest co

st will continue to come down over a period of time, can we assume that a significant portion of the EBITDA growth that we generate from here on will flow through to the ultimate profit?

Saurabh Chawla: Yes, so Karthik, you're absolutely right on your comments over here. You can assume the INR1,800 crores of EBITDA base or exit as a base and we expect the EBITDA to grow at a much better momentum. Of course, I would still put the disclaimer provided all environmental and geopolitical issues remain abated. The second aspect of interest cost as it as they come off, most of the EBITDA will flow down to the PBT levels. Obviously, each airport is a separate legal entity and will have to do its own tax planning. The good part is at least there are, you know accumulated losses which will be first set off for any tax payments but I think in nutshell what I would say is that it's a takeoff stage for the business.

Karthik: Excellent. That's great color. My last question is a minor housekeeping question. If I look at this quarter, if I take the Aero revenue for Delhi Airport and then divide it just by the passenger throughput of about INR20.8 million, the aero revenue per pax comes to somewhere close or slightly below INR400 which is lower than what we are entitled to under the control period? Now I know the control period, the tariffs grow over a period of time and we are only looking at an average, but I'm just curious to see whether there were any aberrations this quarter which caused that number to slip below INR400 and let's say going to FY 27, we should be able to earn more or less close to what the control period tariff actually guaranteed to us?

GRK Babu: The question is that as per the tariff order of the Delhi Airport, the yield per pax is actually INR364. It is not INR400, you can look at the tariff order. So actually we have achieved better than the yield provided by the regulator, we have touched about INR385 to around INR400 mainly because in case of the parking charges, we have revised the rates and got a better income. So going forward you should consider the tariff provided by the regulator INR364 but you can at the most assume INR375 as the yield per pax.

Karthik: Got it. Okay. This is very clear. That's all from my side. Wish the management all the very best for the remaining quarters. Thank you very much.

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Saurabh Chawla: Thank you.

Moderator: Thank you, sir. The next question is from the line of Kaseedit from Citigroup, please proceed.

Kaseedit: Hi management, congratulations for such strong results. Just two things. Number one, on Delhi material jump in non-aero revenue, it would be great if you can share with us perhaps by email what would be the like-for-like increase in spending. It looks very encouraging. And second point given that the Bhogapuram should start operation around 2QFY27 which is what like September this year, right? What would be the incremental depreciation and interest expense that have been capitalized during construction that will kick in on an annual basis? Thank you.

Saurabh Chawla: On non-aero I think Rajesh will just give you a better color.

Rajesh Arora: So on Delhi duty-free SPP, I think we have already given as part of the presentation but just to talk about the numbers, the duty-free SPP has increased to INR1,073 from INR1,026, I'm talking about the nine months period this year versus last year. So that's the on the duty-free side. Overall SPP of our pure non-aero commercial businesses has grown something close to about 7% plus. That is the growth in the SPP what you're looking for that.

Saurabh Chawla: And as far as the Bhogapuram is concerned, it's already been clarified that 100% work is completed on the aero side and 95% on the terminal side. We are expected to operationalize somewhere in Q2FY27, so we're just waiting for certain clearances. Otherwise we are more or less ready.

Kaseedit: Thank you and I understand that once the airport commence operation, there should be depreciation and interest expense kicks in that previously have been capitalized. Is my understanding correct and if yes, what would be the incremental amount per year. Thank you.

GRK Babu: Yes, you're absolutely right for the next financial year it will be for eight to nine months operations. So to that extent interest as well as depreciation will come into picture. If you take the average about 4% depreciation on the assets of about INR4,000 crores, about INR160 crores per annum then 3/4 is about INR120 crores can be the depreciation and on interest cost, currently INR3,200 crores is the debt on which 9% for nine months you can calculate. Is it clear?

Kaseedit: Thank you very much.

Moderator: Thank you. The next question is from the line of Priyankar from JM Financial, please proceed.

Priyankar: Yes, hi. Congratulations for the great set of results I would say. First of all I see that you have done quite well in Goa Airport from what it has been doing let's say in the past few quarters. So can you explain whether these EBITDA margins that we see at the Goa Airport are sustainable and what has caused the other expenses level to fall off there? So that's my first question.

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GRK Babu: Goa airport EBITDA whatever have declared is absolutely sustainable. Actually we are trying to improve upon it. The costs are under total control and we are expecting by year-end we will improve on the EBITDA level.

Priyankar: So you see further scope for EBITDA margin expansion from the 36% that you have reported maybe in 4Q or 1Q. So would that be a correct understanding?

GRK Babu: Yes, in Q4 this year-end we may maintain more or less same but next year onwards absolutely it will certainly go up because of the increase in the traffic and we are also controlling certain incentives and other expenses.

Priyankar: Okay. Sir, if you can also share with us like what should be the capex pipeline for the next few years. The reason why I ask this question is we have come across let's say articles that eventually there would be some large Hyderabad expansion in the next control period. I'm sure you would have submitted your traffic assessments to AERA for the next control period discussion taking this capex into consideration. So if you can give us some guidelines like how should we see the capex numbers let's say from FY26 to FY28 like for individual years?

GRK Babu: As far as Hyderabad is concerned you are absolutely right that we have applied to the regulator for an expansion but the expenditure is likely to start kicking only FY28 onwards towards later FY28.

The master plan is going on, the EPC contractor has to be onboarded which will take time almost a year or so. So the actual expenditure will start kicking in only FY28.

Priyankar: Still can you give us a sense, like on an overall GMR basis, like what would you expect your capex levels to be like let's say in FY27 and FY28. Like FY '28 you may have some tail-end like the beginning capex from Hyderabad. So what should we be factoring in like FY27 and overall levels?

Saurabh Chawla: Honestly as Bhogapuram is now getting completed, there is no capex that is happening of any significance other than Bhogapuram. And once that goes live, there is no capex happening at any of the airports. Any significant capex will only begin in Hyderabad which GRK Babu has told you about is in FY28 once the master plans are fully approved and we have a better understanding of what the capex numbers would be. So it is a FY28 target as of now. Nothing for the next 12 to 18 months.

Priyankar: Would it be right to say that for the large-scale expansion at Hyderabad, the cost could be anything like INR13,000 to INR15,000 crores? I mean given the scale that you are planning.

GRK Babu: It will be around

INR12,000 to INR13,000 crores which will be spent over a period of 4 years. This is basically we're contemplating to go for a new terminal, because Hyderabad itself is already reaching 34 million passengers which is the current terminal capacity. But we will try to sweat it for 1 or 2 more years, then we'll start the expansion. The maximum capex is expected to be around INR12,000 to INR13,000 crores which includes a new runway, new terminal and cross taxiways and everything.

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Saurabh Chawla: And just because Hyderabad just has 4% revenue share, the cash flows and everything else is passed through so the margins really don't get impacted, you start to generate free cash very quickly at Hyderabad Airport even on the expanded regulated base.

Priyankar: Sir, if I may squeeze one last question. So as it stands today, what would be your total accumulated losses at the consol level which you can use as a tax offset probably?

Saurabh Chawla: No you'll have to look at entity-by-entity. For tax purposes Delhi will be separate, Hyderabad will be separate. Unlike in the US where you can combine these accumulated losses in India it has to be entity-by-entity basis. So we can take that offline I think the team can tell you as to each asset what is the accumulated losses and what the tax planning would be on those specific assets.

Priyankar: Okay sir, that's all from my side. Thank you so much.

Saurabh Chawla: Yeah, just to add one comment over here is that the tariff submission at Hyderabad factors in the

expansion.

GRK Babu: Yes, we've already included the capex which I have explained as part of our application for CP4. So we will certainly get some amount in the form of tariff even for the expansion. That's what we are expecting.

Moderator: Thank you, sir. The next question is from the line of Nidhi Shah from ICICI Securities, please proceed.

Nidhi Shah: Yes, thank you so much for taking my question. My first question is on asset monetization. Have we heard anything from the government especially anything on Chennai?

Saurabh Chawla: You're talking about Chennai Greenfield. No nothing right now I mean the land is still being acquired. But that will be an asset that on a greenfield basis GMR would be definitely interested at looking at very closely. As a group we like greenfield projects because we can pace our development on greenfield. So Chennai Greenfield project as and when the bids come out we will surely look at that very closely. Same would be in Pune. Again that's a city that desperately requires a new international airport, so we would look that also as very, very carefully.

Nidhi Shah: And anything on asset monetization especially from the airports that were named in the national monetization plan?

Rajesh Arora: So, Nidhi as you would have also seen in newspaper recently, this 11 airports a combination of 5 plus 6, the privatization process is likely to kick in and if we go by the latest reports, they are likely to start the process in the first quarter of coming financial year. That's the news we also have, we are waiting to get more detail on that but that's what is there in the public domain.

Nidhi Shah: Alright. Lastly in the results, note number 11 calls out a INR113 crores exceptional amount. Could you please explain this exceptional liability?

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GRK Babu: It's basically in case of Delhi International Limited, as you know the Celebi was the cargo contractor and their security has been withdrawn and their contract has been terminated. So the amount of deposit which we have taken and also the lease rentals on the land equalization, both which are amortized over a period of the entire period has to be reversed for the balance period which is up to 2034. So that's what happened, it is a non-cash item.

Nidhi Shah: Alright, thank you so much.

Moderator: Thank you. As there are no further questions fr

om the participants, I now hand over the floor to

Mr. Saurabh sir for closing remarks. Over to you, sir.

Saurabh Chawla: Thank you everybody for participating in our quarterly call on a Saturday morning. Appreciate your participation. From our side, the airport entity is now very well positioned to capture the growth as we go forward.

All our capex plans are behind us, even Bhogapuram more or less is now behind us, so we need to just capture the traffic, grow the aero revenues and the most important part of course is the non-aero side of it. Last but not the least is something where from a longer term strategy perspective how we now monetize our real estate through self-development. I think that is something that we are working on and hopefully in next three to six months we will be able to guide a new strategy in real estate monetizations on all our three airports which are currently live.

Last but not the least we had guided the markets that GAL will be profitable in FY26 and we are profitable, we will continue to be profitable for the end of this year and going forward. So our strategy of medium term of GAL starting to distribute dividends is also on track. Thank you so much and look forward talking to you offline. Thank you, bye-bye.

Moderator: Thank you, sir. On behalf of GMR Airport Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Note: Transcript has been edited to improve readability

Call: Jun 2026

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GMR Airports Limited
(formerly known as GMR Airports Infrastructure Ltd)
Q4FY2026 Investor / Analyst
Conference Call Transcript
May 28, 2026

Moderator: Ladies and gentlemen, good day and welcome to GMR Airports Limited Conference Call to discuss Q4 FY2026 Results. As a reminder, all participants lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

We have with us today, Mr. Saurabh Chawla, Executive Director, Finance and Strategy. Before we begin, I would like to state that some of the statements made in this today's discussion may be forward-looking in nature and may involve risk and uncertainties. Also, recording or transcribing of this call without prior permission of the management is strictly prohibited. I now hand over the conference to Mr. Saurabh Chawla for opening remarks. Thank you and over to you, sir.

Saurabh Chawla: Thank you and good morning, everyone. I'm pleased to present a resilient set of financial and operational results. However, before turning to the numbers, it is important to acknowledge that the current operating environment continues to be challenging. The global aviation landscape is currently weathering a complex storm, and as a major international airport operator, we remain watchful of the broader macro-economic and industry dynamics.

Ongoing geopolitical conflicts have driven a dramatic spike in jet fuel prices, with aviation turbine fuel now consuming 55% to 60% of our airline partners operating expenses. This volatility, coupled with airspace closures, has forced capacity rationalization, including temporary international route suspensions this summer. Consequent fuel surcharges have driven up airfares, causing a temporary slowdown in immediate passenger traffic.

However, the ecosystem's response has been highly supportive. To protect the industry's structural health, the Government of India and key states have intervened decisively in Delhi and Mumbai, recently slashing VAT on ATF to 7%, and Ministry of Civil Aviation has provided direct relief by cutting domestic landing and parking charges by 25%.

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As an airport operator, our business is built on long-term infrastructure horizons and not single-quarter cycles. We must separate transient operational friction from India's secular growth drivers, which remain intact. The structural investment thesis continues to be validated by global authorities. The World Travel and Tourism Council's May '26 research reports the global travel and tourism sector to outpace the wider economy by 1.5 times over the next decade.

Within this global backdrop, India remains a primary growth engine, driven by an expanding middle class and irreversible infrastructure momentum. Consumer appetite and fundamental desire to travel have not diminished. The current softening is transitory due to Iran conflict and should not be viewed as a structural decline in demand.

As management, our strategy is clear. We are navigating the next two quarters with strict discipline, aggressively optimizing our non-aeronautical revenue streams and working closely with airlines to maximize asset utilization. Our long-term strategies remain firmly on track because we are building for the next decade of Indian growth, not just next quarter. On that note, let me delve into our Q4 FY26 performance. Momentum in total income continued with Quarter 4 at INR40.4 billion, up 36% YoY, and FY26 at INR152 billion, up 40% YoY.

More than 50% of this income has come from non-aero businesses and about third came from the aero revenue. EBITDA for the quarter grew 38% YoY to INR15.5 billion, and for the full FY'26, EBITDA reached a record high of INR61.5 billion, up 47% YoY. PAT for the quarter came at INR4 billion versus loss of INR2.5 billion in Q4FY 25. Importantly, for FY26, reported PAT of INR472 crores was positive for the first time in over a decade.

Consolidated net debt, excluding FCCBs of INR28.8 billion, which are deep in the money and will convert into equity, stood at INR340 billion, decreasing by INR4.7 billion versus Q3FY26.

GAL standalone net debt decreased by INR9.4 billion, partially offset by increase of INR4.2 billion at Bhogapuram. For FY26, net debt to EBITDA stood at 5.5x and is poised to go below 4x in next 18 to 24 months. And this should be viewed in the backdrop that now we have added Nagpur in the portfolio as the Government has finally taken the decision. GAL is currently rated A+ by Crisil.

On the operational front, traffic at GAL operated airports rose 1% YoY in Q4 FY26, reaching 31.7 million passengers. This excludes Cebu. Despite multiple disruptions throughout the year, GAL served a record 121.6 million passengers in FYFY26. Total income at Delhi airport rose 23% YoY to

INR20.2 billion in Quarter 4 and rose 33% YoY for the full FY26 . Aero revenues rose 161% YoY in FY26 , driven by implementation of revised tariffs. As a result, EBITDA for Quarter 4 was up 42% YoY to INR7.5 billion and increased 64% YoY for the full FY26 to a record INR28.8 billion. With this, the airport has reported a profit of INR1.2 billion for Quarter 4 and INR4.8 billion for the full FY26 .

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At Hyderabad, total income for Quarter 4 was INR6.2 billion, up 5% YoY, and for the full FY26 , it was at INR25.8 billion, up 10% YoY. Non -aero revenues were particularly strong in FY26 , up 23% YoY. EBITDA for Quarter 4 was up 2% YoY to INR3.6 billion and was up 9% YoY to a record INR16.1 billion for full FY26 . The airport continues to be PAT positive on a quarterly and yearly basis with FY26 PAT at INR4.3 billion versus INR1.9 billion in FY25.

Mopa airport continued its operations with a reported total income of about INR1.1 billion in Q4, down 5% YoY, and INR4.1 billion for the full FY26 , down 7% YoY. Aero revenue declined 12% YoY due to special incentive program to attract airlines, the impact which is already visible in traffic which rose 15% YoY and non -aero revenues which saw a 25% YoY growth. The airport continues to report

positive EBITDA with Q 4FY26 at INR502 million and FY26 at INR1,273 million. The notable achievements during the quarter are combined aero yield per pax or YPP in Quarter 4 was INR434 in Delhi, Hyderabad, and Mopa, and non -aero income per pax or IPP was INR640. And this includes all revenues from non -aero businesses adjusted for revenue share paid to airports as well as non -aero revenues reported by Delhi, Hyderabad, and Mopa airports.

Momentum for our adjacency businesses is accelerating, and as we advance towards our long -term ambition of building GAL into a scaled consumer platform, firmly supported by the resilience and discipline of our core utility operations. At Delhi, duty -free achieved the highest monthly sales in Jan '26, while at Hyderabad, highest monthly SPP was reported for March '26.

The increased duty -free allowance of INR75,000 as announced in the last Union Budget is now implemented. At both these airports, duty -free sales commenced at international lounges. At Hyderabad, GAL operationalized Phase 1 of new larger duty -free store at departures.

Moving to cargo, GAL won the cargo terminal one concession which it was already operating but on an interim basis post the termination of the previous cargo concession. At Bhogapuram, work has already begun operationalizing the non -aero businesses as soon as the commercial operations at the airport commence.

At Delhi, Pier C in Terminal 3, which was earlier a domestic pier, has been converted to international, increasing the terminal's international capacity by 50% to 32 million passengers. And this is in line with our overall strategy to capture as much of in ternational traffic, which is the high -yielding traffic, going forward. Operations will commence shortly and we would, that will enable us to further expand our non -aero offerings to international passenger s.

Hyderabad airport commissioned the cargo terminal two which was initial, with an initial annual capacity of 50,000 metric tons with a scope of expansion to 100,000 metric ton The terminal also features a large fully temperature -controlled pharma zone purpose -built for handling pharmaceutical and perishable cargo. Construction on multiple airport land development projects is underway at all airports, details of which are availab le in the results presentation.

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FiY27 will see handover of our first self -development commercial building at Delhi Aerocity where the pre -leasing discussions are already underway. And here I would like to highlight that as articulated many a times in the past, like we have built our second platform of business which is the non-aero business, we are very much focused on building our third platform which is the real estate development business.

The MRO business signed an agreement with Boeing Defence India to undertake Phase 56 heavy maintenance checks for the Indian Navy's P -8I maritime patrol aircraft fleet, expanding our capabilities into the defence sector. Work on the new airport construction is steadily progressing.

At Bhogapuram, 98.7% of physical progress has been achieved as of March '26, and we aim to operationalize the Bhogapuram airport in Quarter 2 of the current year, much ahead of our original target date of December '26.

At Crete, 69% progress has been achieved as of March '26.

In line with its responsibility as a leading airport operator, GMR Airports is deeply guided by robust ESG principles. The ESG slides in the

presentation as well as our FY25 sustainability report highlight all our initiatives and achievements on this front.

GMR operated airports and subsidiaries continue to define global benchmarks with leading accolades reflecting our relentless pursuit of excellence and innovation. These milestones reaffirm

our commitment to delivering superior infrastructure and enhancing long-term stakeholder value. In closing, FY26 is not just another milestone but a testament of the progress we have built over the years where our strategic initiatives are now gaining traction, shaping GMR Airports into a global, diversified, and future-ready infrastructure platform. The presentation with all financial numbers is already available with you. If not, you can download it from the IR section of our website. We are available to respond to your questions on this call and offline after the call. And now I would like to open the forum for queries that will be addressed by my colleagues and myself from the corporate and the business teams. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Mohit Kumar with ICICI Securities. Please go ahead.

Mohit Kumar: Yeah. Good morning, sir, and thanks for the opportunity and congratulations on a very good year. My first question is, sir, can you please help us with the reason in sharp improvement in share of profit of investment accounted for using equity method? The particular line item has seen a jump from INR21 odd crores in Q3 to INR161 crores in Q4.

GRK Babu: This is basically because of the claims received by the Crete airport from Government of Greece. This has been accounted by the Crete airport, around EUR62 million, and after net of taxes, the proportionate amount of 21% has been taken in our share of profit it is around about INR100 crore.

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Mohit Kumar: Understood. My second question is, sir, there's a negative tax item which appearing in Hyderabad airport financials, which is around INR97 crores odd negative number while it was positive for last three quarters. Anything there which is exceptional?

GRK Babu: It is not an exceptional. As you know that the new tax regime is coming into force this current financial year onwards, which is now mandatory more or less to all the corporates. So Hyderabad airport is now moving from 35% tax bracket into 25.17% tax bracket. Accordingly, the entire deferred tax liability which was created earlier has been reversed to the extent of about INR120 crores.

Mohit Kumar: Understood, understood. That's very helpful. My third question is, can you please help with the capex number for FY26 and the expected capex in FY27 across your various businesses?

GRK Babu: The capex across the businesses in the next FY26, FY27 will be more or less only in case of the Bhogapuram because other airports are doing only operational capex. Bhogapuram will be incurring maybe around INR700 crores to INR800 crores to complete the project in '26, '27.

Mohit Kumar: And what was this number for FY26, sir?

GRK Babu: FY26 is almost around INR1,800 crores we have spent.

Mohit Kumar: And this is across various businesses, right?

GRK Babu: Yes everything is CWIP.

Mohit Kumar: Understood, sir. Thank you. That's very helpful, sir. Thank you.

Moderator: Thank you. Next question comes from the line of Nathan Gee with Bank of America. Please go ahead.

Nathan Gee: Hi, sir. Thank you for the call. Maybe two questions from me. Firstly, look, the second Noida Delhi airport is opening soon. Are you seeing any signs of whether it's cargo or passenger flights being moved over, particularly on the cargo side? So that's the first question.

Second question's just on Hyderabad and domestic

traffic. So April's still showing some softening.

Obviously, some of that's probably war-related, but if the war ends, do you think we could actually start to see some improvement in that traffic when we look to winter '26, '27? So, do you think IndiGo could be able to restore flights or have other airlines expressed some interest in adding into those slots? Thank you.

Saurabh Chawla: Yeah, Nathan. Thank you for your question. I'll answer your second question first. We do expect improvement in conditions maybe in the second half of the current fiscal year. The first half is pretty much locked in and it has been adversely impacted by both airspace closure and also the conflict in Iran. So, but in the second half, we do expect this to improve. Even if we were to achieve, you

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know, what you call a settlement between the US and Iran today, it'll take at least few months for things to normalize. So that is the, that is our understanding on the outlook.

The second part is also this happens to be also a lean season. So, you know, we don't expect too much of uptick in traffic in the current conditions. But September onwards, I think we should be in a much better position compared to the first half of this year.

Coming to the second airport at Noida, and we don't see any, you know, airlines switching over or leaving their slots at Delhi airport and moving to Noida airport. I think that airport will generate its own demand. We have seen because we have operated in another city with, which has two airports, which is Goa, where when we came in, we actually created our own demand and the whole system traffic went up. So we do not expect any cannibalization of demand from our airport to Noida

airport on the passenger side for sure. But on the cargo side, there may be some impact because, you know, that part of the country has lots of industries which are, you know, more dominated towards agri products and also automobile, which may, you know, form the bedrock for cargo traffic to develop in that part, in that airport.

So beyond that, we don't see any impact. But we're working, our team members are pretty much giving, you know, adequate support to the industrial houses to ensure that, you know, the traffic continues to be, the cargo traffic continues to be handled at Delhi airport. So I don't expect any down-tick on either the passenger or in the cargo business as such.

Nathan Gee: Thank you.

Moderator: Thank you. Next question comes from the line of Prateek Kumar with Jefferies. Please go ahead.

Prateek Kumar: Good morning, sir. I have two, three questions. So firstly on your traffic again. So I mean based on the current situation of NATO, will be right to assume like this like in FY26 we had flat to 1% growth, probably just do slightly better at like maybe 3% to 5% growth in terms of overall traffic for the year? Again, it is difficult to project, but given first half is like significantly impacted, for full year we should look at like 5% growth?

Saurabh Chawla: No, absolutely, Prateek. I think we need to keep into perspective that FY26 had a unfortunate accident, you know, with Air India in Ahmedabad, which of course forced Air India to, you know, get all their planes re-inspected under directions from DGCA. So that of course had an impact on capacity available for travel.

And second part is that, you know, again a black swan event of a conflict in the Middle East has impacted, you know, traffic because it has added about one and a half to two hours of travel time from India to Middle East by the Indian carriers. As you may be aware, Indian carriers still cannot access Pakistan airspace.

That airspace is closed, so we have to, from Delhi we have to go, carriers

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have to go down little south and then they cut across into Europe with some, you know, for technical stopovers in Europe before the flight into North America.

So that has impacted, you know, the traffic. It has impacted ticket pricing. And, but we believe that, you know, these are all transitory in nature. So a flat 1% growth going to about 5% to 7% growth for the full fiscal year guidance, I think we're pretty much on there. We're pretty confident that we will achieve.

You also need to keep into perspective that two new airports are also coming in our portfolio which will go live, which will add to the numbers. So Bhogapuram will commercially open in Quarter 2 of this fiscal year, and Nagpur is a brownfield airport, that also contributes, starts contributing in fiscal, in Quarter 2. So these will add to the traffic. But from an existing portfolio perspective, I think it's reasonable to assume a 5% to 7% growth overall.

Prateek Kumar: Sure. On Hyderabad, traffic has been reeling like for past three, four months. I know you would have like lost some traffic to other cities or how should we look at like ports correction there in this market?

Saurabh Chawla: I think, you know, Hyderabad and people usually compare Hyderabad and Bangalore. And I think Hyderabad's pace of growth was far higher compared to other airports including Bangalore. It's a process of normalization and rationalization that the airlines are taking, which are pretty much normal in their planning process and our planning goes pretty much, you know, in line with their planning. So not much to worry about it. It's just getting things are getting only rationalized and normalized here. So if you look at last year or last two years, Hyderabad galloped much, much faster than the other airports here.

Prateek Kumar: Okay. And third question on GAL platform. So we added like major businesses on duty-free and cargo in FY26. What do you think like we should be looking forward, what we should look forward to for FY27 and FY28 in terms of incremental growth opportunities which can add growth to the platform business?

Saurabh Chawla: So for the non-aero platform business, I'll ask my colleague Rajesh to actually pitch in. But broadly what I would like to highlight to you is that our strategy of creating a platform for non-aero is now reflecting in numbers. Non-aero platform numbers are now higher than Hyderabad airport numbers. Okay. And so you need to appreciate the strategy where with least capital employed, we are creating revenue and earnings. But on an overall basis, what the outlook is, I'll just allow Rajesh to give his perspective there.

Rajesh Arora: Thanks, Saurabh. Yeah, so Prateek, FY27, one Bhogapuram will become operational. So linked to that will be the non-aero businesses which are part of GAL platform. So those will get added. As we, you know, just Saurabh just mentioned, we got Nagpur airport. So we'll also be looking for non-aero related opportunities in Nagpur. We're also evaluating a few opportunities outside of GMR,

but it is too early to even talk about that at this stage. We'll let you know once we reach a certain stage of, but our endeavour is to get as many businesses as we can get from our own airports plus also actively looking at opportunities outside of GMR airports.

Saurabh Chawla: So just to also add to what Rajesh is saying, I think, you know, when we were creating this platform, we were looking at a secular growth in the business of anything of 17%, 18%. Correct me if I'm wrong, Rajesh. And we believe that organically with the existing, you know, businesses will continue to grow with that kind of CAGR.

Rajesh Arora: Saurabh. You're right. We are looking

at upward of 15%, 16% of growth YoY.

Prateek Kumar: One last question on your Hyderabad tariff. We have signed for, we have filed for that tariff multi-year proposal. What is the stage there and how should we look at tariff for FY27, FY28 in the next control period?

GRK Babu: The tariff application was already filed last financial year, and the AERA is at active stage of considering the application. We are expecting the tariffs to come in the third quarter of this financial year. And tariffs, of course, we can't give exactly the number, but the tariff will be much better than the current tariffs.

Prateek Kumar: Sure. I'll get back to queue. Thank you.

Moderator: Thank you. Next question comes from the line of Karthik Chellappa with Indus Capital. Please go ahead.

Karthik Chellappa: So, Congrats on the quarter sir. I just had three quick questions. The first one is if I were to look at the Delhi airport non-aero revenue growth this quarter, it was a bit soft. So apart from, you know, the geopolitical developments and the airspace restrictions, was there any other factors or so which impacted that growth? And when can we expect to see some sort of recovery in that particular revenue item?

Saurabh Chawla: Rajesh?

Rajesh Arora: Yeah. So, no, I think when you look at the non-aero absolute volume and growth, no, since the traffic growth has been suboptimal, so that also reflected in the overall non-aero revenue growth. And then secondly, there were couple of waivers which were pertaining to earlier period, those have also been accounted for. So net impact of that. But if you see in terms of our SPP growth for non-aero, it has been in this quarter in the range of about 4%, 5% or so, which is again, no, we generally look at 7% to 8% SPP growth. So if you see it in that light, it is slightly lower than what we generally achieve, but for these two reasons which I just mentioned.

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GRK Babu: And in case of the Delhi airport, the in case of non-aero revenues, there was some reversal of about INR23 crores of the cargo straight-lining of the deposits that has impacted. Otherwise, the growth was normal. There are certain reversals which have to happen, so that have been taken place.

Karthik Chellappa: Okay. Excellent. My second question, sir, is on Hyderabad. We already talked about the softness in the traffic for the fourth quarter as well as some of that also in April. But if I look at the absolute EBITDA growth this quarter, that has also been soft, which has resulted in some level of margin compression. So if we are expecting the normalization to happen in the second half of this year, so can we then say that in the first half the margins at Hyderabad airport will still be range-bound and somewhat under pressure simply because the volume is yet to normalize whereas the costs are sticky? So would that be like a reasonable inference?

Saurabh Chawla: No, so generally your comment would be accurate, but as now we are also able to control our costs quite effectively. But from a guidance perspective, I would say that the first half of the year will be softer and it'll recover in the second half. So from a general comment of yours, I would align with that.

Karthik Chellappa: Okay. Excellent. My last question, sir, is if we were to look at our net debt, it has seen some moderation quarter-on-quarter and most of that has actually come at the GAL standalone level. Now that Bhogapuram will be operational, let's say in two quarters down the line, and we really don't have a lot of capex lined up for FY27, can we assume that the net debt trajectory from here on will actually be on a downward trend?

GRK Babu: No, in the '26, '27 still Bhogapuram capex, the final payments will come up, which will be around INR700 crores to INR800 crores. So to that extent, debt will go up because the entire equity infusion was already completed. And other than that, may

be a little debt may come up in case of the Nagpur.

So other than these two, there are no further debt raising.

Saurabh Chawla: So we can assume about INR700 crores, INR800 crores of the final payments of Bhogapuram to hit the books and about INR200 odd crores coming for Nagpur. So about INR1,000 odd crores in total debt will go up. And of course, there'll be some mandatory debt payments that are happening, that'll adjust for the downward slope. But I think the key thing that you really need to look at is, what is my net debt to EBITDA number? That is the metric that you have to follow more accurately than absolute number of debt.

Karthik Chellappa: Okay. Great. And sir, just on, you've mentioned that for Delhi airport, your international passenger capacity has now gone up by about 50% odd to about 32 million. Like how many years of demand do you think this can cater to? Just if you were to hazard a guess without an explicit guidance, because right now I think we're doing about 21 million, 22 million. I'm just trying to see whether how many years of demand can this actually service before the next phase of expansion?

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GRK Babu: So this will cater for the next four to five years of the international traffic growth. By the time then we will be able to see whether any additional capacity has to be created. But this will take care of next three to four years requirement of international traffic in Delhi.

Karthik Chellappa: Okay. That's all from my side sir. Thank you very much and wish you and your team all the very best.

Saurabh Chawla: Yeah. Just to add to what GRK Babu highlighted, I think we are very well covered for next five years.

But we, the way the design of the airports have also happened, there's a lot of flexibility available.

So, you know, as you are aware, our strategy is to capture more and more of international traffic, it helps in our non-aero business. If some capex needs to be incurred after four, five years to convert any particular part of the terminal or pier into an international one, will be undertake n.

Karthik Chellappa: Excellent. Okay. This is perfect. Thank you, sir. Thank you very much and wish the team all the very best. That's all from me sir.

Saurabh Chawla: Thank you.

Moderator: Thank you. Next question comes from the line of Kaseedit Choonawat with Citi Group. Please go ahead.

Kaseedit Choonawat: Hi. Congratulations for such a strong result. I have four questions, half of them being maintenance.

Firstly, I would like to follow up on the associates jump. You mentioned that about INR1 billion came from claims from the Greece government on Crete airport. Can you please further elaborate what claim is that for? And even if I take away INR1 billion, the remaining INR620 million is still quite a sizeable quarter-on-quarter jump. Was that driven by? Is it by advertising revenue or some thing like that? Let's start with that first question. Thank you.

GRK Babu: In case of the Crete, as you know the concession, the construction period has to be extended by two years due to the COVID. So it is a force majeure and the airport has made a claim on the government for the loss of profit for the two financial years, CY25 and CY26

So accordingly, the Government of Greece has considered the claim for the entire calendar year of '25 is about EUR62 million, but they have already disbursed for about six months claim amount has already been received. So considering that EUR62 million claim which has already been accounted for in the books by the Crete company, after net of taxes because this will come as an income and on that taxes have to be paid around about 25% net of tax, the balance amount is again distributed among the shareholders and GMR holds about 21.6% stake, so that translates into around INR100 crores as our share of profit. Is it clear?

Kaseedit Choonawat:

Yeah, that part is clear. And next is such a strong, excluding that amount, it's still quite a strong Q-on-Q increase. What is it driven by? Thank you.

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Amit Jain : Kaseedit , along with the international JVs, we also have JVs in DIAL and Hyderabad, Delhi airport and Hyderabad airport. So this remaining what you're talking about is with respect to the Delhi airport and Hyderabad airport.

Especially if you look at Delhi airport, the big one is like say advertising and also you know that cargo was there for some time, so all those are also accounted for in this the difference what you're talking about. Similarly in Hyderabad also some point some amount is there. All these are JV ownerships.

Kaseedit Choonawat: Okay. That's very clear. Thank you. Next question is on Hyderabad tariff. I think about a year ago, I asked the management and you mentioned that because there's not that much of capex at Hyderabad, we should be expecting close to flat tariff heading into the next regulatory period. What has changed that led to upward guidance in the passenger service charges of Hyderabad? Thank you.

GRK Babu: I think we have already explained in the last call that Hyderabad airport has filed an application for the tariff determination for this current control period considering even the expansion. Because the Hyderabad airport has built 34 million capacity which is almost full, it is operating. So, we have already considered, presented to the regulator that there will be an expansion on northern side of the airport.

So, considering that expansion capex also included, of course the benefit of this expansion may not come full amount because the expansion will get completed by '31 / '32. But small amount of some portion of that expansion benefit also is expected to get in the tariff determination. That is one point. The second point is in the third control period in Hyderabad airport if you look at it, the regulator has postponed around INR600 crores of the revenue to the fourth control period.

That INR600 crores on NPV basis about INR1,000 crores additional revenue Hyderabad airport is

entitled, which regulator is going to consider, that will also add additional revenue, additional pax yield per pax. So, these are the two factors which we are considering that there will be improvement in the yield per pax in case of Hyderabad airport.

Kaseedit Choonawat: Okay. That's clear. Thank you. And last two questions, on Bhogapuram, how much jump in depreciation and amortization per year we can expect? And the last question is, can you please elaborate more on where's the -- why this quarter we have such a large tax credit? Thank you.

GRK Babu: So, in case of the Bhogapuram airport, the entire project cost which we have already explained is about INR47 billion. The depreciation will be on an average around 4% to 5% is about INR200 crores will be the depreciation in case of the Bhogapuram airport. But since it is going to be operating only for about three quarters, the depreciation could be around INR130 crores to INR150 crores as far as the Bhogapuram airport is concerned. So, regarding the tax credit which we have taken in case of Hyderabad is basically reversal of the deferred tax liability created. Because when the tax provisions were at 35%, we have kept creating the tax liability for future years. Since the tax rates

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have come down from 35% to 25.17%, there was no need to keep that liability. To that extent, we have reversed which is about INR120 crores in case of Hyderabad airport.

Kaseedit Choonawat: Okay. That's very clear. Thank you.

Moderator: Thank you. Next question comes from the line of Ankita Shah with Elara Capital. Please go ahead.

Ankita Shah: Thank you for the opportunity.

Firstly, sir, how much traffic can be added by Bhogapuram and Nagpur? And X of that, how much our core portfolio can grow, which gives us better clarity on the 5% to 7% growth for the full year number that you are targeting? We just want to see how much new airports can add and how much our existing portfolio can grow in terms of traffic?

GRK Babu: As far as the Bhogapuram is concerned, the Vizag airport is handling around 2.95 million. So, if we considered the nine months period, we can expect around 2.25 million minimum. But we are expecting a better growth because the Vizag airport doesn't have in the night landings and the take-offs. So, we are expecting a better traffic, maybe better than 2.25 million for a period of nine months. In case of the Nagpur, it is also operating around 2.9 million traffic. So, if we are going to take over in the third quarter, I think second quarter, second quarter we are going to take over this current financial year. So, then we will be operating around 2.25 million on yearly basis for the remaining nine months period. So, both put together will be around 5 million will be adding to the traffic in addition to the natural growth in Delhi and Hyderabad.

Ankita Shah: Also, sir, tariff orders are in place for both Bhogapuram and Nagpur?

GRK Babu: In case of Bhogapuram, tariff application has already been filed. We are -- the now as per the latest guidelines issued by the regulator, they will release the full tariff only after the assets have been fully capitalized and the financial results are available. So, we are expecting by end of this month or before starting of operations an ad-hoc tariff from the regulator, which will be around 75% of the expected full tariff. So that is in case of the Bhogapuram airport. Since we have already filed application, we can expect that ad-hoc tariff before starting of the operations. As far as the Nagpur is concerned, it has already got an existing tariffs, that will be continued for some time till we finalize the master plan and file the application with the regulator for the tariff determination.

Ankita Shah: Got it. Also, sir, you mentioned the about the growth in the real estate segment as well. So are we looking at any capex for, you know, developing the real estate on our own?

Saurabh Chawla: So, we are doing few projects already. Maybe Aman you can just highlight, you know, what is the current capex plan there for current year. The next business plan of course will be in future.

Aman Kapoor: So, currently in Delhi there are three projects that are under development. We have a hotel project pre-leased to Chalet, 400 keys. That hotel building will be ready for handover this financial year.

There is a office building in Aerocity which is also under development, scheduled for completion towards the end of this year. And then there is a hospital project which is just started, again a

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building lease to a client. That project is about a million square feet total built-up area and has very recently just started construction three weeks ago. As far as the capex layout, we expect total capex in this financial year to be around INR450 crores.

Ankita Shah: Okay. So Bhogapuram, Nagpur, and the real estate put together could be around INR1,400 crores of capex then for this year, FY27?

Saurabh Chawla: broadly. Correct. But just to but just to again highlight that these are all fully funded through construction finance. So, it doesn't impact my cash flows. And they're all into SPVs. So...

Ankita Shah: Got it. Sir, any update on the arbitration going on for Delhi airport tariff revision?

GRK Babu: As far as the tariff revision the arbitration is not for tariff revision. The arbitration was for the MAP payment. But the matter is now pending before the bench of the High Court as far as that MAP issue is concerned. And regarding other HRAB is concerned, it is before the Supr

eme Court. We are

expecting the start hearing after the summer holidays, maybe around end of the June.

Ankita Shah: Okay. And the last one, recently Groupe ADP sold stake in the company which was taken up by GMR promoters. You know, what is the thought process going forward on this stake ownership? Also, any -- when will the FCCB conversion for ADP's shareholding will happen?

Saurabh Chawla: So, I think ADP's press release is quite clear. They have indicated that post this current stub of sale of about 7.3% stake in GAL, they do not contemplate any further stake sale in the near future.

On the FCCBs, the promoters who had a call option to purchase the FCCBs, which were originally scheduled to be purchased in March of '28, is now going to be purchased by March of '27. The conversion of these FCCBs will happen in its scheduled time in March of '28 only. So that is the -- nothing has changed on that front.

Ankita Shah: Sir, can I take one last one?

Saurabh Chawla: Sure. Go ahead.

Ankita Shah: What could be the impact of UDF and landing fee reduction for this quarter that has been advised by the Airport Authority of India? So, what could be the impact of that for this quarter?

GRK Babu: The basically the order has been issued by the regulator AERA at the directions of the Ministry of Civil Aviation. This reduction in the landing charges by 25% is only for domestic movement but not for the international. The total impact is not more than a bout INR50 crores on yearly basis. For the one quarter, it'll be about INR15 crores to INR20 crores maximum. However, this amount will get trued up in the next control period. So, there will not be any loss to the company.

Saurabh Chawla: So, it's only a cash flow impact. It is no impact on return on equity, which gets trued up in the next tariff period cycle.

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Ankita Shah: Got it. Thank you.

Moderator: Thank you. A reminder to all the participants that you may press star and one to ask a question.

Next question comes from the line of Samay Satshil Sabnis with Helios Capital. Please go ahead.

Samay Sabnis: Thank you for the opportunity. Just one question from my side. So, when I see your result presentation on slide 20, I see significant eliminations made in your EBITDA composition in Q4. So, could you please provide some color on these eliminations?

GRK Babu: Sir, in case of the eliminations, basically the -- for example, GAL has paid remuneration to the DIAL. That will get eliminated because its consolidated number. And Hyderabad duty -free earlier paid to the Hyderabad airport, they get eliminated. So, any inter -company payments which have happened will get eliminated. For example, the dividend which we have received from Hyderabad airport, nearl y INR200 crores, that get eliminated in the consol . So, these are all the eliminations which are inter -company transactions under the consol numbers.

Samay Sabnis: Okay. That was helpful. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question - and-answer session. I now hand the conference over to Mr. Saurabh Chawla for closing comments.

Saurabh Chawla: Thank you everybody for attending this Quarter 4 annual results call. You know, we are available for any further queries that you may have. You can meet, send emails, or talk to the IR team. We'll be happy to answer any of your queries. Thank you so much.

Moderator: Thank you. On behalf of GMR Airports Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Note: Transcript has been edited to improve readability